

Utica First Insurance Company
PROVISIONS REQUIRED BY LAW TO BE STATED IN THIS POLICY

Policy Jacket Insert

This policy is issued by Utica First Insurance Company (the "Company"), an Advance Premium Co-operative Property and Casualty Insurance Company having Bylaws and special regulations relating to meetings of members, election of directors, rights and obligations of members as printed below. The holder of this policy is not subject to liability for assessment.

Qualification for Membership. Any natural person or Organization (as that term is hereinafter defined) that becomes a policyholder of one or more policies of insurance issued by the Company within its authority pursuant to the Company's Charter and licenses is a member of the Company (a "Member" or "Members"). The status as Member of any natural person or Organization shall cease immediately at the time such natural person or Organization ceases to hold at least one policy of insurance issued by the Company. Non-residents who own property within the territory in which the Company may do business may be insured therein and shall have all the rights and privileges of Members of the Company and be accountable as are other persons insured therein, but shall not be eligible to hold office in the Company.

Membership by an Organization. The term "Organization" means any legal entity other than a natural person that is authorized to insure in an advance premium corporation under Section 6626(a) of the Insurance Law, or any successor statute, together with multiple named insureds with joint interests under one or more policies of insurance. Each Organization that becomes a Member of the Company may designate in writing one officer, trustee, board member or legal representative (an "Authorized Representative") of such Organization who is to be recognized by the Company pursuant to Section 6626(b) of the Insurance Law or any successor statute to act for or on behalf of such Organization for the purpose of membership. Only the Authorized Representative of an Organization which is a Member may perform any act or exercise any right on behalf of the Organization which is associated with such Organization's status as Member.

Annual Meeting. The annual meeting of the Members of the Company is held at the Home Office of the Company at 4:00 p.m. on the first Monday in March of each year, if not a legal holiday, and if a legal holiday, then on the next succeeding Monday which is not a legal holiday. At the annual meeting the Members shall elect Directors and transact such business as may properly come before the meeting.

Special Meetings. Special meetings of the Members of the Company may be called at any time by the Chief Executive Officer and two Directors other than the Chief Executive Officer and shall be called at any time upon written request of at least ten of the Members. The call for the meeting shall state the time, place, and object of the meeting. All special meetings of the Members of the Company shall occur not more than 60 days following the date of the call for the meeting and shall take place at the Home Office.

Notice of Meetings. Notice of the time, place and object of each annual and special meeting of the Members of the Company shall be published twice each week for two successive weeks immediately preceding such meeting, in at least two newspapers published in Oneida County, New York.

Voting. Except as otherwise required by law or the Company's Charter, each Member is entitled to one vote only upon each matter submitted to a vote at any meeting of the Members. Except for the election of Directors, all questions are decided by a vote of a majority of the Members voting thereon.

Number and Qualification of Directors. The Board of Directors shall consist of not less than nine nor more than fifteen Directors, the exact number within such range to be determined from time to time by resolution of the Board of Directors, provided that no decrease in the number of Directors shall shorten the term of an incumbent Director. Each Director shall be a Member of the Company and a resident of the territory in which the Company is licensed to do business. At all times, a majority of the Directors shall be citizens and residents of New York State.

Election of Directors. The Board of Directors shall be divided into three (3) groups which are as equal in size as possible. Each Director shall serve for a term of three (3) years beginning on the date of the annual meeting at which he is elected, and within each group, the terms of the Directors shall be coextensive. The terms for each group shall be staggered such that only one group shall be elected at each annual meeting of the Members. At the annual meeting of Members, each Member in attendance shall cast one vote for each vacancy on the Board of Directors. Those candidates receiving a plurality of the votes cast shall be elected.

Nomination of Directors. Only persons who are nominated in accordance with the following procedures shall be eligible for election as Directors. Nominations of persons for election to the Board of Directors of the Company may be made (a) at a meeting of Members by or at the direction of the Board of Directors or (b) at a meeting of the Members by any Member of the Company who complies with the following notice. Nominations other than those made by or at the direction of the Board of Directors must be filed with the Secretary of the Company not less than 30 nor more than 60 days before the Annual Meeting, provided such nominations be in writing and endorsed by not less than 15 Members of the Company (a "Member Notice"). Such Member Notice shall set forth (a) as to each person whom the Members propose to nominate for election or re-election as a Director, (i) the name, age, business address and residence address of such person, (ii) the principal occupation or employment of such person, (iii) whether such person is a Member of the Company, such person's name and address as they appear on the Company's records and evidence whether such person is a citizen and resident of New York State and of the territory in which the Company is licensed to do business and is otherwise qualified to be a Director of the Company, and (iv) any relationship or affiliation that such proposed nominee has with the persons nominating him; and (b) as to the Members giving notice, the Members' name and address, as they appear in the Company's records. No persons, except those whose names have been identified in a notice which was filed as provided in this section, are eligible for election. The term "Qualified Persons" shall mean natural persons who are qualified to serve as Directors of the Company pursuant to the Charter, Bylaws, or applicable law.

Assessments. The Company shall issue policies without contingent mutual liability of the policyholders for assessment.

Procedure for Amendment. The Bylaws may be amended by addition, alteration or repeal only by a majority vote of all of the Members who are present in person at any Annual Meeting of the Members or other stated meeting or any special meeting duly called for such purpose except that the Board of Directors, at any regular or special meeting, may amend the Bylaws as to any provisions which do not impair the Members' rights or enlarge their obligations under insurance policies by a vote in favor of such amendment of not less than two-thirds of the Directors present, provided that notice of the substance or character of the proposed change has been given in the call for such meeting, and provided that such amendments are approved by the Superintendent of Insurance of the State of New York.

Utica First Insurance Company

This policy jacket with the Declarations Page (or Renewal Certificate page), policy conditions and definitions, and forms and endorsements, if any, issued to form a part thereof, completes this policy.

To the extent that coverage in this policy replaces coverage in other policies terminating noon standard time on the inception date of this policy, coverage under this policy shall not become effective until such other coverage has terminated.

Renewal Certificates

This initial policy expires on the date shown on the Declarations Page and coverage may be continued to subsequent annual policy periods by the use of an Annual Renewal Certificate. The Declarations Page of the Renewal Certificate will replace all previously issued policy Declarations and will apply only to accidents, occurrences, or losses which happen during the policy period shown on the Renewal Certificate.

Furthermore, the policy will apply only to those coverages for which a limit of insurance and/or a limit of liability or charge is shown on the Renewal Certificate. Our limit for each coverage shall not be more than the amount stated for such coverage on the Renewal Certificate, subject to all the terms, conditions, forms, and endorsements attached to the policy or to the Renewal Certificate.

Important Notice

In compliance with the requirements of the Fair Credit Reporting Act (Public Law 91-08), we advise that as part of our routine procedure in reviewing applications for insurance or renewals of insurance policies, this insurance company may procure an investigative consumer report including information as to the consumer's character, general reputation, personal characteristics or mode of living, if such insurance is for an individual and is primarily for personal, family or household purposes. Such information will be obtained through personal interviewing neighbors, friends, or others with whom the consumer is acquainted.

Upon written request to this insurance company, made within a reasonable period of time after receipt of this notice, this company will provide in writing a complete and accurate disclosure of the nature and scope of the investigation requested, if one was requested, or advise that none was requested.



UTICA FIRST INSURANCE COMPANY
CONSTITUTED IN OHIO AS
UTICA FIRST INSURANCE COMPANY (MUTUAL)

Home Office: 5981 Airport Rd, Oriskany, NY 13424
Mailing Address: PO Box 851, Utica, NY 13503-0851
Phone: 800-456-4556

CONTRACTORS SPECIAL POLICY DECLARATIONS

Policy Number: ART3000665111

Transaction Type:
Billing Type:

Renewal
Direct Billed

dress:

Duneside Properties LLC

BLUE MOUNTAIN LAKE, NY 12812

Agent:

Chenango Brokers LLC
PO Box 460
Hancock, NY 13783

Policy Period: 12:01 A.M. Standard Time at Location of Designated Premises.

From 10/24/2025 to 10/24/2026

IN RETURN FOR PAYMENT OF THE REQUIRED PREMIUM, WE WILL PROVIDE THE INSURANCE AS DESCRIBED IN THIS POLICY.

TERRORISM COVERAGE: \$58
ANNUAL PREMIUM: \$2,381.00

\$150 MINIMUM RETAINED PREMIUM

A handwritten signature in black ink, appearing to be 'S. Smith'.

Our Authorized Representative and
Countersignature Date 08/19/2025



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Home Office: 5981 Airport Rd, Oriskany, NY 13424
Mailing Address: PO Box 851, Utica, NY 13503-0851
Phone: 800-456-4556

Policy Number: ART3000665111
Policy Period: 10/24/2025 – 10/24/2026

Class Description: Heating and Air Conditioning - Systems and Equipment No LPG Work

GENERAL LIABILITY COVERAGE

	Limit of Insurance
Each Occurrence Limit	\$1,000,000
General Aggregate Limit – other than Products/Completed Work	\$2,000,000
Aggregate Limit – Products/Completed Work	\$2,000,000
Medical Payments Limit	\$5,000
Personal & Advertising Injury Limit	\$1,000,000
Fire Legal Liability Limit	\$50,000
Property Damage Deductible	\$None

Liability Premium: \$2,143

Location Schedule

Location: 7990 STATE ROUTE 28 & 30, BLUE MOUNTAIN LAKE, NY 12812

Building #1

Year Constructed: 1958
Construction: Frame
County: HAMILTON
Valuation: Actual Cash Value
Cause of Loss: AP-100

	Limit	Premium
Property Deductible	\$250	

ADDITIONAL INSURED

Designated Person or Organization: UPSTATE COMPANIES I LLC
1690 STATE HIGHWAY 8
MT UPTON, NY 13809



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Policy Period: 10/24/2025 – 10/24/2026

TOOLS & EQUIPMENT COVERAGE LIST
(See Forms for Coverage Terms and Conditions)

Premium

Contractor's Tools

\$170

OPTIONAL LIABILITY COVERAGE LIST
(See Forms for Coverage Terms and Conditions)

Coverage

Designated Person or Organization

Limit

See Form

Premium

\$10



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FORMS INVENTORY

POLICY FORMS

AP 5454	03 10	Amendatory Endorsement NY
CP 382	10 87	NY Anti Arson Amendment
GL 890LA	1.0	Lead Asbestos Liability Exclusion
SNEXNY	1.0	Exclusion Snow Removal Operations
XCNTR	1.0	Exclusion of Injury to Employees Contractors and Employees of Contractors
AP 100	1.0	Contractors Special Policy
AP 0690	06 02	Exclusion Exterior Insulation and Finish Systems
AP 0851UF	09 09	Other Insurance Amendment
AP 0852UF	09 09	Information Distribution and Recording Violations Exclusion
UFR 1	07 11	Roofing Operation Specific Exclusion Endorsement
AP 0700	01 15	Certified Terrorism Loss
PRIV	04 01	Privacy Notice
AP 0230UF	11 05	Silica Exclusion
AP 0231NY	10 08	Water Damage Exclusion
AP 0233UF	01 08	War and Military Exclusion
AP 0365UF	02 07	Virus or Bacteria Exclusion
AP 0643	12 99	Known Injury or Damage Amendments
AP 0611	01 99	Loss of Income Coverage 72 Hour Waiting Period
AP 0661	04 00	Contractors Tools
GL 212	01 87	Exclusion Explosion Collapse Underground Property Damage Hazard
AP 0301	10 05	Additional Insured Designated Person or Organization
CL 0605	02 21	Certified Terrorism Loss Disclosure of Premium and Federal Share of Insured Losses
CL 1045F	02 21	Policyholder Disclosure Notice of Terrorism Insurance Coverage
AP 0853UF	04 23	Exclusion - Communicable Disease
DNCANY	12 23	Important Notice Exclusion - Communicable Disease

SILICA EXCLUSION

The Commercial Liability Coverage Section is amended as follows:

ADDITIONAL DEFINITIONS

The following definition is added:

"Silica" means silicon dioxide (SiO₂) including:

1. crystalline silica, silica dust, industrial sand, silica sand, quartz, quartz dust, cristobalite, tridymite, tripoli, and silica mixed with other compounds;
2. amorphous silica and silica gel; and
3. silica dust mixed with other dust particles.

EXCLUSIONS THAT APPLY TO ALL LIABILITY COVERAGES

1. The following exclusions are added:

"We" do not pay for:

- a. "bodily injury" arising out of the actual, alleged, or threatened ingestion, inhalation, or absorption of "silica";
 - b. "property damage" arising out of the actual, alleged, or threatened prolonged exposure to "silica"; or
 - c. any loss, cost, or expense arising out of the testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, or in any way responding to or assessing the effects of "silica" by any "insured" or any other person or organization.
2. The following exclusions are added under Additional Exclusions That Apply To Personal and Advertising Injury:

"We" do not pay for any loss, cost, or expense arising out of the testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, or in any way responding to or assessing the effects of "silica" by any "insured" or any other person or organization.

AP 0230UF 11 05

EXCLUSION -- WATER DAMAGE

The policy is amended as follows. All other "terms" of the policy apply, except as amended by this endorsement.

PERILS EXCLUDED

Item i. is deleted and replaced by the following:

i. **Water --**

a. "We" do not pay for loss caused by:

- 1) flood; surface water; waves, including, but not limited to, tidal wave and tsunami; tidal water; tides; overflow of any body of water; or spray from any of these; all whether or not driven by wind. This includes, but is not limited to, storm surge, storm tide, and tidal surge;
- 2) water that backs up through, overflows from, or is otherwise discharged from:
 - a) a sewer or drain;
 - b) a sump, sump pump, or related equipment; or
 - c) any other type of system designed to remove subsurface water which is drained from the foundation area;
- 3) water below the surface of the ground. This includes water that exerts pressure on or flows, seeps, or leaks through or into:
 - a) basements, whether paved or not;

- b) doors, windows, or other openings;
- c) foundations, floors, walls, or paved surfaces; or
- d) swimming pools, septic tanks, or other structures; or

- 4) material present in or carried or otherwise moved by water described in items 1) through 3) above.

However, if fire, explosion, or sprinkler leakage results, "we" do pay for the resulting loss.

b. This exclusion:

- 1) applies regardless of the cause of the water or the material carried or moved by water described under items a.1) through a.4) above, whether or not such cause is an act of nature; and
- 2) applies to, but is not limited to, water and material present in or carried or moved by water, whether or not driven by wind, that:
 - a) overtops;
 - b) escapes from;
 - c) is released from; or
 - d) is otherwise discharged from;

a dam, levee, dike, floodgate, seawall, or other device or feature designed or used to retain, contain, or control water.

EXCLUSION -- WAR AND MILITARY ACTION

The policy is amended as follows:

COMMERCIAL LIABILITY COVERAGES

EXCLUSIONS

EXCLUSIONS THAT APPLY TO ALL LIABILITY COVERAGES

Exclusion 11. is deleted and replaced by the following:

We do not pay for any injury or damage caused directly or indirectly by the following:

- a. war, including undeclared or civil war; or
- b. warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign, or other authority using military personnel or other agents; or
- c. insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

COMMERCIAL PROPERTY COVERAGES

PERILS INSURED AGAINST - COVERAGES A AND B

Items 1.h. is deleted and replaced by the following:

We do not pay for loss or damage caused directly or indirectly by the following:

- a. war, including undeclared or civil war; or
- b. warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign, or other authority using military personnel or other agents; or
- c. insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

With respect to any action that comes within the "terms" of this exclusion and involves nuclear reaction or radiation or radioactive contamination, this War And Military Action Exclusion supersedes the Nuclear Hazard Exclusion.

AP 0233UF 01 08

**ADDITIONAL INSURED
DESIGNATED PERSON OR ORGANIZATION**

(Entries required to complete the Schedule will be
shown below or on the "declarations".)

SCHEDULE

Person or Organization designated as Additional Insured:

UPSTATE COMPANIES I LLC
1690 STATE HIGHWAY 8
MT UPTON, NY 13809

Designated Interests:

The Commercial Liability Coverage is amended as follows:

Under Definitions, the definition of "insured" is amended to include each person or organization shown in the Schedule as an additional insured, but only with respect to such person's or organization's liability for "bodily injury", "property damage", "personal injury", or "advertising injury" caused, in whole or in part, by "your" acts or omissions or the acts or omissions of those acting on "your" behalf:

1. in the performance of "your" ongoing work;
2. in connection with "your" premises; or
3. in connection with other designated interests, if shown in the Schedule.

VIRUS OR BACTERIA EXCLUSION

The following provisions are added with respect to all property coverages provided by this policy. All other "terms" of the policy apply, except as amended by this endorsement.

1. When "fungus or related perils" is a defined "term", that definition is deleted and replaced by the following, but only with respect to the Property Coverages provided by this policy.

"Fungus or related perils" means:
 - a. a fungus, including but not limited to mildew and mold;
 - b. a protist, including but not limited to algae and slime mold;
 - c. wet rot;
 - d. dry rot; or
 - e. a chemical, matter, or compound produced or released by a fungus, a protist, wet rot, or dry rot, including but not limited to toxins, spores, fragments, and metabolites such as microbial volatile organic compounds.
2. The following exclusion is added under Perils Insured Against - Coverages A and B Item #1. It applies to all coverages, coverage extensions, supplemental coverages, optional coverages, and endorsements that are provided by the policy to which this endorsement is attached, including, but not limited to, those that provide coverage for property, earnings, extra expense, or interruption by civil authority.

Virus or Bacteria -- "We" do not pay for loss, cost, or expense caused by, resulting from, or relating to any virus, bacterium, or other microorganism that causes disease, illness, or physical distress or that is capable of causing disease, illness, or physical distress.

This exclusion applies to, but is not limited to, any loss, cost, or expense as a result of:

- a. any contamination by any virus, bacterium, or other microorganism; or
 - b. any denial of access to property because of any virus, bacterium, or other microorganism.
3. The "terms" of this endorsement, whether or not applicable to any loss, cost, or expense, cannot be construed to provide coverage for a loss, cost, or expense that would otherwise be excluded under the policy to which this endorsement is attached.

AP 0365UF 02 07

LOSS OF INCOME COVERAGE 72-HOUR WAITING PERIOD PROPERTY COVERAGES

DEFINITIONS

The Definition of "Restoration period" is deleted and replaced by the following:

8. "Restoration period":
- a. This means the period of time it should reasonably take to resume "your" normal business activities at the described premises starting:
 - 1) for Earnings, 72 hours after the time of loss caused by a covered peril; or
 - 2) for Extra Expense, immediately after the time of loss caused by a covered peril, andending on the date the property should be rebuilt, repaired, or replaced. This is not limited by the expiration date of the policy.
 - b. "Restoration period" does not include any increase in time due to the enforcement of any ordinance, law, or decree that regulates or requires:
 - 1) the construction, use, repair, or demolition of any property;
 - 2) the testing, evaluating, observing, or recording the existence, level, or effects of "pollutants"; or
 - 3) the clean up, removal, containment, treatment, detoxification, or neutralization of "pollutants".

COVERAGE C -- LOSS OF INCOME

Under Supplemental Loss of Income Coverages, Interruption by Civil Authority is deleted and replaced by the following:

2. **Interruption by Civil Authority** "We" extend "your" coverage to include loss while access to the described premises is specifically denied by an order of civil authority. This order must be a result of damage to property other than at the described premises and caused by a covered peril.

This extension of coverage:

- a. for Earnings, starts 72 hours after the time the order is issued and will apply for a period of up to three consecutive weeks after the order is issued; and
- b. for Extra Expense, starts immediately after the order is issued, and will apply for:
 - 1) a period of up to three consecutive weeks after the order is issued; or
 - 2) until "your" Earnings coverage ends,whichever is later.

This does not increase any "limit" for Coverage C -- Loss of Income shown on the "declarations".

AP 0611 01 99

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KNOWN INJURY OR DAMAGE AMENDMENTS

The Commercial Liability Coverage is amended as follows:

1. Under Definitions, the following definition is added:

"Designated insured" means:

- a. "you" and "your" spouse, but only with respect to the conduct of a business of which "you" are the sole owner, if "you" are shown on the "declarations" as an individual;
 - b. "you" and all "your" partners or members and their spouses, but only with respect to the conduct of "your" business, if "you" are shown on the "declarations" as a partnership or a joint venture;
 - c. "you" and all "your" members and managers, but only while acting within the scope of their duties, if "you" are shown on the "declarations" as a limited liability company; and
 - d. "you" and all "your" executive officers and directors, but only while acting within the scope of their duties, if "you" are shown on the "declarations" as an organization (other than a partnership, joint venture, or limited liability company). It also includes "your" stockholders, but only for their liability as such; or
 - e. any "employee" who is authorized to give or receive notice of an "occurrence" or a claim.
2. Under Principal Coverages, Coverage L and, if applicable, Coverage N are amended by the addition of the following:

This insurance applies only to:

- a. "Bodily injury" or "property damage" which is not a continuation of, resumption of, or change in "bodily injury" or "property damage" that was known by a "designated insured" prior to the inception date of the policy period. If a "designated insured" knew, as stated under the Knowledge of Bodily Injury or Property Damage Condition, prior to the inception date of the policy period, that "bodily injury" or "property damage" had occurred, any continuation of, resumption of, or change in such "bodily injury" or "property damage" will be deemed to have been known by the "designated insured" prior to the inception date of the policy period.
 - b. "Bodily injury" or "property damage" that occurs during the policy period and which is not a continuation of, resumption of, or change in "bodily injury" or "property damage" which was known by a "designated insured", as stated under the Knowledge of Bodily Injury or Property Damage Condition, to have occurred prior to the inception date of this policy period, will include any continuation of, resumption of, or change in such "bodily injury" or "property damage" after the end of this policy period.
3. Under Defense Coverage, the following is added:

"We" have no duty to defend a suit or claim seeking "damages" because of "bodily injury" or "property damage" which was known by a "designated insured", as stated under the Knowledge of Bodily Injury or Property Damage Condition, prior to the inception date of the policy period.

4. Under Conditions, the following condition is added:

Knowledge of Bodily Injury or Property Damage -- Knowledge of "bodily injury" or "property damage" will be deemed to have occurred at the earliest of the following times:

- a. when a suit, claim, or demand for "damages" alleging "bodily injury" or "property damage" is received by any "designated insured";

- b. when any "designated insured" reports the "bodily injury" or "property damage" to "us" or any other insurer; or
- c. when any "designated insured" becomes aware of anything that indicates that "bodily injury" or "property damage" may have occurred or is occurring.

AP 0643 12 99

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CONTRACTORS' TOOLS

(The entries required to complete this endorsement
will be shown below or on the "declarations".)

SCHEDULE

Limit \$ 5,000

Description of Tools

Replacement Cost applies No

Contractors Tools

AGREEMENT

In return for "your" payment of the required premium, "we" provide the coverages described in this endorsement during the policy period. This coverage is subject to the "terms" of the Common Policy Conditions and the Property Coverage Section of this policy, except as provided below.

PROPERTY COVERED

With respect to the coverage provided by this endorsement, Property Covered is deleted and replaced by the following:

"We" cover direct physical loss to covered property caused by a covered peril.

Covered property consists of tools, including accessories whether attached or not, that "you" own and similar property of others that is in "your" care, custody, or control of the type described on the Contractors' Tools Schedule.

PROPERTY NOT COVERED

The property described below is not covered under the "terms" of this endorsement.

1. **Buildings and Structures** -- "We" do not cover buildings and structures.
2. **Leased or Rented Property** -- "We" do not cover property that "you" lease or rent to others.
3. **Loaned Property** -- "We" do not cover property that "you" loan to others.

ADDITIONAL PROPERTY EXCLUDED AND LIMITATIONS

The exclusion described below applies to the coverage provided by this endorsement:

Missing Property -- "We" do not cover missing property where the only proof of loss is unexplained or mysterious disappearance, shortage discovered on taking inventory, or other instances where there is no physical evidence to show what happened to the property.

This exclusion does not apply to covered property in the custody of a carrier for hire.

ADDITIONAL COVERAGES

The following Additional Coverages apply with respect to coverage provided by this endorsement:

1. **Employees' Tools** -- "We" pay up to \$2,500 per occurrence for loss to "your" employees' tools being used for "your" work at a location, project, or work site "you" do not own, lease, or operate where "you" are involved in construction, installation, erection, repair, or moving operations or projects. This coverage is limited to \$500 for property owned by any one employee, and limited to \$100 for any one item.
2. **Newly Acquired Equipment** -- "We" pay up to \$5,000 per occurrence for loss to additional tools that "you" acquire during the policy period.

This coverage applies for 30 days from the date "you" acquire the equipment or until "you" report the acquired equipment to "us" whichever comes first.

"You" must pay any additional premium due based on "limits" reported from the date "you" acquire the equipment.

3. **Rental Reimbursement** -- If loss caused by a covered peril makes "your" tools inoperable, "we" will pay up to \$2,500 per occurrence for rental expenses "you" incur to rent similar tools.

"We" will not reimburse "you":

- a. for the rental expense of any tools unless "you" make every reasonable effort to repair or replace "your" tools after loss by a covered peril occurs; or
- b. if "you" can continue or resume "your" operations with similar tools that are available to "you" at no additional expense to "you".

PERILS COVERED

With respect to the coverage provided by this endorsement, Perils Covered is deleted and replaced by the following:

"We" cover risks of direct physical loss unless the loss is limited or caused by a peril that is excluded.

PERILS EXCLUDED

With respect to the coverage provided by this endorsement, Perils Excluded is deleted and replaced by the following:

"We" do not pay for loss if one or more of the following exclusions apply to the loss, regardless of other causes or events that contribute to or aggravate the loss, whether such causes or events act to produce the loss before, at the same time as, or after the excluded causes or events.

1. **Civil Authority** -- "We" do not pay for loss caused by order of any civil authority, including seizure, confiscation, destruction, or quarantine of property.

"We" do pay for loss resulting from acts of destruction by the civil authority to prevent the spread of fire, unless the fire is caused by a peril excluded under this endorsement.

2. **Nuclear Hazard** -- "We" do not pay for loss caused by a nuclear reaction, nuclear radiation, or radioactive contamination (whether controlled or uncontrolled; whether caused by, contributed to, or aggravated by a covered peril; and whether caused by natural, accidental, or artificial means). Loss caused by nuclear hazard is not considered loss caused by fire, explosion, or smoke. Direct physical loss by fire resulting from the nuclear hazard is covered.

3. **War** -- "We" do not pay for loss caused by war. This means:

- a. declared war, undeclared war, civil war, insurrection, rebellion, or revolution;
- b. a warlike act by a military force or by military personnel;
- c. the destruction, seizure, or use of the

property for a military purpose; or

- d. the discharge of a nuclear weapon, even if it is accidental.

- 4. **Weather** -- "We" do not pay for loss caused by weather conditions if the weather conditions contribute in any way with a cause or event excluded in items 1. through 3. above.

"We" do pay for any resulting loss caused by a covered peril unless the resulting loss itself is excluded.

ADDITIONAL EXCLUSIONS

Additional Exclusions is deleted and replaced by the following with respect to the coverage provided by this endorsement.

- 1. **Contamination or Deterioration** -- "We" do not pay for loss caused by contamination or deterioration including corrosion, decay, fungus, mildew, mold, rot, rust, or any quality, fault, or weakness in property that causes it to damage or destroy itself.

"We" do pay for any resulting loss caused by a "specified peril".

- 2. **Criminal, Fraudulent, or Dishonest Acts** -- "We" do not pay for loss caused by criminal, fraudulent, dishonest, or illegal acts, alone or in collusion with another, by:
 - a. "you";
 - b. others who have an interest in the property;
 - c. others to whom "you" entrust the property;
 - d. "your" partners, officers, directors, trustees, joint venturers; or
 - e. the employees (including leased employees) or agents of a., b., c., or d. above, whether or not they are at work.

This exclusion does not apply to acts of destruction of property by "your" employees (including leased employees), but theft by employees (including leased employees) is not covered by this endorsement.

- 3. **Electrical Currents** -- "We" do not pay for loss caused by arcing or by electrical currents other than lightning. If a fire results, "we" pay for only the loss caused by fire.
- 4. **Mechanical Breakdown** -- "We" do not pay for loss caused by mechanical breakdown or rupturing or bursting of moving parts of machinery caused by centrifugal force.

"We" do pay for any resulting loss caused by a "specified peril".

- 5. **Pollutants** -- "We" do not pay for loss caused by release, discharge, seepage, migration, dispersal, or escape of "pollutants" unless the release, discharge, seepage, migration, dispersal, or escape is caused by a "specified peril". "We" do pay for any resulting loss caused by a "specified peril".
- 6. **Smog** -- "We" do not pay for loss caused by smog.
- 7. **Smoke, Vapor, or Gas** -- "We" do not pay for loss caused by smoke, vapor, or gas from agricultural smudging or industrial operations.
- 8. **Temperature/Humidity** -- "We" do not pay for loss to personal property caused by dampness, dryness, or changes in or extremes of temperature. "We" do pay for any resulting breakage of building glass or loss caused by a "specified peril".
- 9. **Voluntary Parting** -- "We" do not pay for loss caused by voluntary parting with title to or possession of any property because of any fraudulent scheme, trick, or false pretense.
- 10. **Wear and Tear** -- "We" do not pay for loss caused by wear and tear, marring, or scratching. "We" do pay for any resulting breakage of building glass or loss caused by a "specified peril".

VALUATION OF PROPERTY LOSSES

With respect to the coverage provided by this endorsement, the Actual Cash Value and Replacement Cost provisions found under Valuation of Property Losses are deleted and replaced by the following:

1. **Actual Cash Value** -- Unless Replacement Cost is shown on the Contractors' Tools Schedule, the value of covered property will be based on the lesser of the following:
 - a. the actual cost to repair or replace the covered property with materials of like kind and quality. The actual cost may include material, labor, and reasonable overhead expenses, or
 - b. the amount "you" actually spend to repair or replace the covered property.
2. **Replacement Cost** -- When Replacement Cost is shown on the Contractors' Tools Schedule, the value of covered property is based on its replacement cost without a deduction for depreciation. However, these replacement cost "terms" do not apply to property described in paragraphs 3. and 4.

below.

Replacement cost is limited to the cost of repair or replacement with similar materials used for the same purpose. The payment will not exceed the amount "you" spend to repair or replace the damaged or destroyed property.

Replacement cost valuation does not apply until the damaged or destroyed property is repaired or replaced. "You" may make a claim for the actual cash value of the damaged property before repair or replacement takes place, and later for the replacement cost if "you" notify "us" of "your" intent within 180 days after the loss.

3. **Loss to Parts** -- The value of a lost or damaged part of an item that consists of several parts when it is complete is based on the value of only the lost or damaged part or the cost to repair or replace it.
4. **Pair or Set** -- The value of a lost or damaged article which is part of a pair or set is based on a reasonable proportion of the value of the entire pair or set. The loss is not considered a total loss of the pair or set.

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EXCLUSION -- EXTERIOR INSULATION AND FINISH SYSTEMS

The Commercial Liability Coverage is amended as follows:

1. Under Definitions, the following definition is added:

"EIFS" means an exterior wall cladding or finish system used on any part of any structure consisting of:

- a. a rigid or semi-rigid insulation board made of expanded polystyrene or other materials;
- b. an adhesive or mechanical attachment of the insulation board to the substrate;
- c. a reinforced base coat on the face of the insulation board or base coat and mesh;
- d. a protective finish applied to the surface of the base coat providing surface texture to which color may be added; and
- e. any conditioners, primers, accessories, flashings, coatings, caulking, and sealants that interact to form an energy efficient wall.

2. The following exclusions are added:

- a. "We" do not pay for actual or alleged "bodily injury" or "property damage" (or "personal injury" or "advertising injury", when provided by this policy) that arises out of the design, manufacture, sale, service, construction, fabrication, preparation, installation, application, maintenance, or repair, including any remodeling, correction, or replacement of an "EIFS" or any part thereof, or any substantially similar system or any part thereof, including any method or procedure to correct problems with installed systems performed by or on behalf of an "insured".

- b. "We" do not pay for actual or alleged "bodily injury" or "property damage" (or "personal injury" or "advertising injury", when provided by this policy) that arises out of "your work" and that results directly or indirectly from any exterior component, fixture, or feature of any structure if an "EIFS" is used on any part of that structure.

- c. "We" do not pay for actual or alleged "bodily injury" or "property damage" included in the "products/completed work hazard" and that results directly or indirectly from any exterior component, fixture, or feature of any structure if an "EIFS" is used on any part of that structure.

- d. "We" do not pay for "bodily injury" or "property damage" liability assumed by an "insured" under a contract or agreement for the design, manufacture, sale, service, construction, fabrication, preparation, installation, application, maintenance, repair, including any remodeling, correction, or replacement of an "EIFS" or any part thereof, or any substantially similar system or any part thereof.

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CERTIFIED TERRORISM LOSS

The Contractors Special Policy is amended as follows:

COMMON POLICY DEFINITIONS

1. The following definitions are added.
 - a. "Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States:
 - 1) to be an act of terrorism;
 - 2) to be a violent act or an act that is dangerous to human life, property, or infrastructure;
 - 3) to have resulted in damage:
 - a) within the United States; or
 - b) to an air carrier (as defined in section 40102 of title 49, United States Code); to a United States flag vessel (or a vessel based principally in the United States, on which United States income tax is paid and whose insurance coverage is subject to regulation in the United States), regardless of where the loss occurs; or at the premises of any United States mission; and
 - 4) to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.
 - 5) to have resulted in insured losses in excess of five million dollars in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act, as amended.
- b. "Certified terrorism loss" means loss that results from a "certified act of terrorism".

COMMERCIAL LIABILITY COVERAGES

2. The "terms" of any terrorism exclusion that is part of or that is attached to this policy are amended by the following provision:

This exclusion does not apply to "certified terrorism loss".

3. The following provision is added.

If the Secretary of the Treasury determines that the aggregate amount of "certified terrorism loss" has exceeded one hundred billion dollars in a calendar year (January 1 through December 31), and "we" have met "our" insurer deductible under the Terrorism Risk Insurance Act, as amended, "we" will not pay for any portion of "certified terrorism loss" that exceeds one hundred billion dollars. If the "certified terrorism loss" exceeds one hundred billion dollars in a calendar year (January 1 through December 31), losses up to one hundred billion dollars are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury under the Terrorism Risk Insurance Act, as amended.

PROPERTY COVERAGES

4. The "terms" of any terrorism exclusion that is part of or that is attached to this policy are amended by the following provision:

This exclusion does not apply to "certified terrorism loss".

5. The following provision is added.

If the Secretary of the Treasury determines that the aggregate amount of "certified terrorism loss" has exceeded one hundred billion dollars in a calendar year (January 1 through December 31), and "we" have met "our" insurer deductible under the Terrorism Risk Insurance Act, as amended, "we" will not pay for any portion of "certified terrorism loss" that exceeds one hundred billion dollars. If the "certified terrorism loss" exceeds one hundred billion dollars in a calendar year (January 1 through December 31), losses up to one hundred billion dollars are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury under the Terrorism Risk Insurance Act, as amended.

- 1) exclusions that address war, military action, or nuclear hazard; or
 - 2) any other exclusion; and
- b. the absence of any other terrorism endorsement does not imply coverage for any loss that would otherwise be excluded by the Property Coverages section of this policy under:
- 1) exclusions that address war, military action, or nuclear hazard; or
 - 2) any other exclusion.

6. The following provisions are added.

- a. Neither the "terms" of this endorsement nor the "terms" of any other terrorism endorsement attached to the Property Coverages section of this policy provide coverage for any loss that would otherwise be excluded by the Property Coverages section of this policy under:

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OTHER INSURANCE AMENDMENT

The Commercial Liability Coverage Section is amended as follows.

CONDITIONS

Item 4.c. under Conditions is deleted and replaced by the following:

- c. Insurance under this Commercial Liability Coverage is excess over any other insurance:
 - 1) if the other insurance, whether primary, excess, contingent, or on any other basis, provides:
 - a) fire, extended coverage, builders' risk, installation risk, or similar coverage for **your work**; or
 - b) fire insurance for premises rented to **you**;
 - 2) if the other insurance applies to any loss arising out of the maintenance or use of aircraft, **autos**, or watercraft which may be covered by this policy; or
 - 3) if the other insurance is primary insurance and is available to **you** to coverage liability arising out of the:
 - a) premises or operations;
 - b) completed work; or
 - c) products;
- for which **you** have been added as an additional insured by endorsement to the policy.

INFORMATION DISTRIBUTION AND RECORDING VIOLATIONS EXCLUSION

The Commercial Liability Coverages are amended as follows. All other **terms** of the policy apply, except as amended by this endorsement.

EXCLUSIONS

The following exclusion is added under Exclusions That Apply To All Liability Coverages:

We do not pay for bodily injury, property damage, personal injury, or advertising injury arising directly or indirectly out of violations of or alleged violations of:

- a. the Telephone Consumer Protection Act of 1991 (TCPA), including any amendments thereto, and any similar federal, state, or local laws, ordinances, statutes, or regulations;
- b. the CAN-SPAM Act of 2003, including any amendments thereto, and any similar federal, state, or local laws, ordinances, statutes, or regulations;
- c. the Fair Credit Reporting Act (FCRA), including any amendments thereto, such as the Fair and Accurate Credit Transaction Act (FACTA), and any similar federal, state, or local laws, ordinances, statutes, or regulations; or
- d. any other federal, state, or local law, regulation, statute, or ordinance that restricts, prohibits, or otherwise pertains to the collecting, communicating, recording, printing, transmitting, sending, disposal, or distribution of material or information.

EXCLUSION -- COMMUNICABLE DISEASE

The Commercial Liability Coverages are amended as follows. All other **terms** of the policy apply, except as amended by this endorsement.

EXCLUSIONS

The following exclusions are added under Exclusions That Apply To Bodily Injury, Property Damage, Personal Injury, And/Or Advertising Injury:

1. **We** do not pay for **bodily injury, property damage, personal injury, or advertising injury** that arises out of the actual or alleged transmission of a communicable disease by:
 - a. a person;
 - b. an **insured's** property, including **products**; or
 - c. the property of others in the care, custody, or control of an **insured**.

This exclusion applies even if the claim or suit against any **insured** alleges negligence or other improper action in the:

- a. failure to report the communicable disease to proper authorities;
- b. failure to prevent the spread of the communicable disease;
- c. hiring, supervising, training, employing, or monitoring of others who may be infected with and spread a communicable disease; or
- d. testing or failure to test for a communicable disease.

2. **We** do not pay for any loss, cost, or expense arising out of any:
 - a. request, demand, or order that any **insured** or others test for, monitor, report, clean up, remove, contain, treat, detoxify, disinfect, sterilize, neutralize, or in any way respond to, assess the effects of, or eliminate a communicable disease or the conditions to which a communicable disease is attributed; or
 - b. claim or suit by or on behalf of any governmental body or authority relating to testing for, monitoring, reporting, cleaning up, removing, containing, treating, detoxifying, disinfecting, sterilizing, neutralizing, or in any way responding to, assessing the effects of, or eliminating a communicable disease or the conditions to which a communicable disease is attributed.

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CONTRACTORS SPECIAL POLICY

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Endorsements may also apply. They are identified on the Declarations page.

Refer to the Common Policy Definitions and Additional Definitions for words that have special meanings. These words are shown in **“bold type.”**

AGREEMENT

Subject to all the terms that apply, and in return for **your** payment of the required premium, **“we”** provide the coverages described in this policy during the policy period.

COMMON POLICY CONDITIONS

This Common Policy Conditions Section contains additional "terms" that apply to all coverages provided by this policy.

1. **Assignment** -- This policy is void if it is assigned without **our** written consent.
2. **Cancellation** -- **You** may cancel this policy by returning the policy to **us** or by giving **us** a written notice and stating at what future time coverage is to cease.

We may cancel this policy, or one or more of its parts, by giving **you** a written notice at least 10 days before the cancellation is to take effect. The notice will state the time that the cancellation is to take effect. The notice will be sent to **your** mailing address last known to **us**.

Your return premium, if any, will be refunded to **you** with the cancellation notice or within a reasonable time. Payment or tender of the unearned premium is not a condition of cancellation.
3. **Change, Modification, or Waiver of Policy Terms** -- A change or waiver of terms of this policy must be issued by **us** in writing to be valid.
4. **Conformity With Statute** -- Terms of this policy, in conflict with the statutes of the state where the premises described are located, are amended to conform to such statutes.
5. **Cooperation** -- In case of loss, **you** must cooperate in performing all acts required by this policy.
6. **Examination of Books and Records** -- **We** may examine and audit **your** books and records that relate to this policy during the policy period and within three years after the policy has expired.
7. **Inspections** -- **We** have the right, but are not obligated, to inspect **your** property and operations. This inspection may be made by **us** or may be made on **our** behalf. An inspection or its resulting advice or report does not warrant that **your** property or operations are safe, healthful or in compliance with laws, rules or regulations. Inspections or reports are for **our** benefit only.
8. **Liberalization** -- If **we** adopt a revision of forms during a policy period which broadens this policy without additional premium, the broadened coverage will automatically apply to this policy. This also applies if **we** adopt the revision within 60 days before this policy is effective.
9. **Misrepresentation, Concealment, or Fraud** -- This coverage is void if before or after a loss:
 - a. any **insured** has concealed or misrepresented:
 - 1) a material fact or circumstance that relates to this insurance or the subject thereof; or
 - 2) the **insured's** interest herein; or
 - b. there has been fraud or false swearing by any **insured** with regard to a matter that relates to this insurance or the subject thereof.
10. **Subrogation** -- If **we** pay for a loss under this policy **we** may require that the **insured** assign to **us** any right of recovery against others up to the amount **we** paid. **We** are not liable for a loss if, after the loss or occurrence, any **insured** impairs our right to recover.

An **Insured** may waive its right to recover, in writing, before the loss or occurrence takes place without voiding coverage.

COMMON POLICY DEFINITIONS

This section contains definitions that apply to all coverages under this policy.

1. **Basic territory**- This means the United States of America, its territories and possessions, Canada and Puerto Rico.
2. **Described premises** – This means that part of the building and grounds which **you** occupy at the location shown.
3. **Insured- Insured** means:
 - a. **you**; or
 - b. in the event of the death of an individual **insured**, **your** legal representative and anyone having temporary custody of **your** property until **your** legal representative is appointed. Such persons are **insureds** only with respect to insurance on covered property and liability incurred while acting within the scope of their duties.
4. **Limit** – This means the **limit** of liability that applies.
5. **Pollutants** – This means :
 - a. any solid, liquid, gaseous, thermal, electrical emission (visible or invisible) or sound emission pollutant, irritant or contaminant; or
 - b. waste, including materials to be recycled, re-claimed or reconditioned as well as disposed of.
6. **Terms** – This means all provisions, limitations, exclusions, conditions and definitions that apply.
7. **We, Us, Our** – These words mean the company providing this coverage.
8. **You, Your** – These words mean the persons or organizations named on the Declarations.

COMMERCIAL LIABILITY COVERAGES

This Section contains the additional definitions, coverage descriptions, exclusions, limitations and conditions that apply to the Contractor's Liability Coverages.

ADDITIONAL DEFINITIONS

In addition to the Common Policy definitions the following also apply to the Commercial Liability Coverages.

1. **Advertising injury**- This means injury (other than **bodily injury**) arising out of one or more of the following offenses:
 - a. oral or written publication of material:
 - 1) that slanders or libels a person or organization;
 - 2) that disparages a person's or organization's goods, products, or services; or
 - 3) that violates a person's right of privacy.
 - b. misappropriation of advertising ideas or style of doing business;
 - c. infringement of copyright, title, slogan, trademark or trade name.
2. **Auto**- This means a land motor vehicle, a trailer or a semi-trailer which is designed for use on public roads. **Auto** includes attached machinery and equipment.
3. **Bodily Injury**- This means bodily harm, sickness, or disease sustained by a person and includes required care and loss of services. Bodily injury includes death that results from bodily harm, sickness or disease.
4. **Coverage territory**- This means:
 - a. the **basic territory**;
 - b. international waters or airspace, only if the **bodily injury or property damage** occurs in the course of travel to or from the **basic territory**;
 - c. the world, if the injury or damage arises out of:
 - 1) products **you** have made or sold in the **basic territory**; or
 - 2) the activities of a person who normally resides in the **basic territory**, but is away for a short time on **your** business; and

provided that **your** liability to pay damages has been determined

 - 1) in a suit on the merits in the **basic territory**; or
 - 2) in a settlement that **we** have agreed to.

5. **Impaired property** - This means tangible property (other than **you products** or **your work**):
- whose value has been decreased:
 - because it includes **your product** or **your work** that is, or is believed to be, defective, deficient or dangerous; or
 - because **you** failed to carry out the terms of a contract; and
 - whose value can be restored:
 - by the repair, replacement, adjustment or removal of **your products** or **your work**; or
 - by **your** fulfilling the terms of the contract.

6. **Incidental Contract** - This means a written :
- lease of premises;
 - easement agreement (this does not include an agreement in connection with any construction or demolition operation on or adjacent to a railroad);
 - promise to indemnify a municipality if required by an ordinance (this does not apply in connection with work done for the municipality);
 - sidetrack agreement; or
 - elevator maintenance agreement.

This does not include any contract or agreement to obtain insurance of any kind in connection with a project upon which **you** may be employed as a sub-contractor, or to indemnify any person with respect to such project.

7. **Insured** – If shown on the Declarations as an “individual,” **insured** means **you** and **your** spouse, but only with respect to the conduct of a business of which **you** are the sole owner.

If shown on the Declarations as a “partnership” or a “joint venture” **insured** means **you** and all **your** partners or members and their spouses, but only with respect to the conduct of the business.

If shown on the Declarations as an “organization” (other than a partnership or a joint venture), **insured** means **you** and all of **your** executive officers and directors, but only while acting within the scope of their duties. It also includes **your** stockholders, but only for the liability as such.

Insured also includes;

- with respect to the operation, with **your** permission, of mobile equipment:

- your** employee in the course of employment. This does not apply to a fellow employee injured in the course of employment;
- any other person. This includes anyone legally liable for the conduct of such person but only:
 - for liability arising out of the operation of the equipment; and
 - if there is no other insurance covering the liability available to them.

No one is an **insured** for property damage to property owned by, rented to, in the charge of, or occupied by **you**, or an employee of anyone who is an **insured** under paragraph a.

- your** employees, for acts within the scope of their employment by **you** (this does not include your executive officers). None of these employees are **insured** for:

- injury to **you** or to a fellow employee;
- property damage** to property owned by, rented to or loaned to employees, or any of **your** partners or members and their spouses (if **you** are a joint venture or a partnership)

- any organization (other than a joint venture or a partnership) newly acquired or formed by **you**, and in which **you** have a majority interest.

Such an organization is not an **insured**:

- if there is other similar insurance available to it; or
- after 90 days immediately following that acquisition or formation; or
- for **bodily injury** or **property damage** that occurred prior to the acquisition or formation

No person or organization is an **insured** with respect to the conduct of a current or part partnership or joint venture that is not shown on the Declarations as an **insured**.

8. **Loading or Unloading** – This means the movement of Property:

- starting with the time it is removed from the point where it has been accepted for transit by **auto**, aircraft or watercraft;
- continuing while it is in or on such vehicle; and
- ending when it has been removed from the vehicle to its point of destination.

Loading or unloading includes movement by any mechanical device attached to the vehicle.

9. **Occurrence** – This means an accident and includes repeated exposure to similar conditions.

10. **Personal injury – Personal Injury** means injury (other than **bodily injury**) arising out of one or more of the following offenses:

- a. oral or written publication of material:
 - 1) that slanders or libels a person or organization;
 - 2) that disparages a person's or an organization's goods, products, or services; or
 - 3) that violates a person's right of privacy;
- b. false arrest, detention, or imprisonment or malicious prosecution;
- c. wrongful entry into or eviction of a person from a room, dwelling or premises that a person occupies.

It does not include advertising, publishing, broadcasting or telecasting done by or for **you**.

11. **Products/completed work hazard --**

- a. **Products hazard** means **bodily injury** or **property damage** occurring away from premises **you** own or rent and arising out of **your product** after physical possession of the products has been relinquished to others.
- b. **Completed work hazard** means **bodily injury** or **property damage** arising out of **your work**. It does not include work that has not been completed, or that has not been abandoned.

Your work is deemed completed at the earliest of the following times:

- 1) when all work specified in **your** contract has been done;
- 2) when all **your** work to be done at a job site has been completed if **your** contract includes work at more than one site; or
- 3) when **your work** at a job site has been put to its intended use by someone other than another contractor or subcontractor working on the same job site.

Work which requires further service, maintenance, correction, repair, or replacement because of defect or deficiency, but which is otherwise complete, shall be deemed completed.

- c. Neither of these hazards include **bodily injury** or **property damage** arising out of:
 - 1) the transportation of property, unless the injury or damage arises out of a condition in

or on a vehicle, created by **loading** or **unloading**;

- 2) the presence of tools, uninstalled equipment, or abandoned or unused materials; or
- 3) **products** or work for which the classification on the Declarations specifies "including **Products/Completed Work**".

12. **Products** – This means goods or **products** manufactured, sold, handled, distributed or disposed of by **you**, others trading under **your** name, or a person or organization whose business or assets **you** have acquired.

Products includes:

- a. warranties or representations made at any time with respect to the fitness, quality, durability, or performance of **your products**;
- b. containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or **products**; and

Products does not include:

- a. vending machines
- b. property that is rented to or placed for the use of others, but not sold; or
- c. real property.

13. **Property damage** - This means:

- a. physical injury or destruction of tangible property; or
- b. the loss of use of tangible property whether or not it is physically damaged.

14. **Your work** - This means:

- a. work or operations performed by **you** or on **your** behalf;
- b. materials, parts, and equipment **you** supply for such work or operations; and
- c. written warranties or representations made at any time regarding quality, fitness, durability or performance of any of the foregoing.

PRINCIPAL COVERAGES

We provide insurance for the following coverages indicated by a specific **limit** or premium charge on the Declarations.

COVERAGE L -- BODILY INJURY LIABILITY/ PROPERTY DAMAGE LIABILITY

We pay all sums which an **insured** becomes legally obligated to pay as damages due to **bodily injury** or **property damage** to which this insurance applies.

The **bodily injury** or **property damage** must be caused by an **occurrence**.

This insurance applies only to **bodily injury** or **property damage** which occurs:

1. within the **coverage territory**; and
2. during the policy period.

COVERAGE M -- MEDICAL PAYMENTS

We pay the medical expenses defined below for **bodily injury** caused by an accident:

1. on premises **you** own or rent;
2. on ways adjacent or next to premises **you** own or rent; or
3. arising out of **your** operations.

We pay such expenses regardless of fault but only if:

1. they arise out of an accident that occurred in the **coverage territory** and during the policy period; and
2. they are incurred and reported within one year of the accident.

Medical expenses means the reasonable and necessary expenses for:

1. medical, surgical, x-ray, and dental services, including prosthetic devices and eye glasses;
2. ambulance, hospital, professional nursing, and funeral services; and
3. first aid at the time of an accident.

COVERAGE N -- PRODUCTS/COMPLETED WORK

We pay all sums which an **insured** becomes legally obligated to pay as damages due to **bodily injury** or **property damage** arising out of the **Products/Completed Work Hazard** to which this insurance applies. The **bodily injury** or **property damage** must be caused by an **occurrence**. This insurance applies only to bodily injury or property damage which occurs:

1. within the **coverage territory**; and
2. during the policy period.

COVERAGE O -- FIRE LEGAL LIABILITY

We pay for **property damage** to buildings, or parts thereof, which **you** rent if the **property damage** is

caused by fire for which **you** are legally liable. Buildings include fixtures permanently attached thereto.

All of the exclusions otherwise applicable to **property damage** do not apply to this coverage. However, we do not cover:

1. liability arising under any contract to indemnify any person or organization for damage by fire to the premises; or
2. liability arising out of **property damage** expected, directed or intended by an **insured**.

COVERAGE P -- PERSONAL AND ADVERTISING INJURY LIABILITY

We pay all sums which an **insured** becomes legally obligated to pay as damages due to **personal injury** or **advertising injury** to which this insurance applies.

The **personal injury** or **advertising injury** must arise out of the conduct of **your** business;

1. within the **coverage territory**; and
2. during the policy period.

INCIDENTAL LIABILITY COVERAGES

These coverages are subject to all the **terms** of the Principal Coverages. They do not increase the **limits** stated for the Principal Coverage.

INCIDENTAL MEDICAL MALPRACTICE INJURY

We cover **bodily injury** arising out of the rendering or failure to render the following services:

1. medical, surgical, dental, x-ray or nursing services or treatment or the furnishing of food or beverages in connection therewith; or
2. the furnishing or dispensing of drugs or medical, dental or surgical supplies or appliances.

This coverage does not apply to:

1. expenses incurred by an **insured** for first aid to others at the time of an accident;
2. an **insured** or an employee engaged in the business or occupation of providing any of the services described under 1. and 2. above; or
3. injury caused by an indemnitee if such indemnitee is engaged in the business or occupation of providing any of the services described in 1. and 2. above.

MOBILE EQUIPMENT

We pay all sums for which an **insured** is legally liable for **bodily injury** or **property damage** resulting from mobile equipment, including attached equipment and machinery.

This coverage applies only to land motor vehicles that meet one or more of the following criteria:

1. Those which are used only on premises owned by or rented to **you** (premises includes adjoining ways).
2. Those which are designed primarily for use off public roads.
3. Those which travel on crawler treads.
4. Those which are self-propelled and designed or used only to afford mobility to the following types of equipment, which must be a part of or be permanently attached to such vehicle:
 - a. power cranes, shovels, loaders, diggers, or drills;
 - b. concrete mixers (this does not include the mix-in-transit type); and
 - c. graders, scrapers, rollers, and other road construction or repair equipment.
5. Those which are not self-propelled, but are used primarily to afford mobility to the following types of equipment permanently attached thereto:
 - a. air compressors, pumps, and generators (this includes spraying, welding, and building cleaning equipment);
 - b. geophysical exploration, lighting and well servicing equipment; and
 - c. cherry pickers and similar devices used to raise or lower workers.

This coverage does not apply to self-propelled vehicles with the following types of permanently attached equipment:

1. equipment designed primarily for snow removal, street cleaning, road maintenance other than road construction, or resurfacing;
2. cherry pickers and similar devices used to raise or lower workers;
3. air compressors, pumps, and generators (this includes spraying, welding, and building cleaning equipment); or
4. geophysical exploration, lighting, and well servicing equipment.

We cover **bodily injury** or **property damage** arising out of the operation of any of the equipment listed in paragraphs 2., 3. and 4. above.

We will provide any liability, uninsured motorists, no fault, or other coverages required by any motor vehicle insurance law. **We** will provide the required limits for such required coverage.

DEFENSE COVERAGE

Payments under this coverage are in addition to the **limits** for the Commercial Liability Coverage.

We have the right and duty to defend a suit seeking damages **for bodily injury, property damage, personal injury** and **advertising injury** which may be covered under the Commercial Liability Coverage. **We** may make investigations and settle claims or suits **we** decide are appropriate.

Suit includes any alternative dispute resolution proceeding involving **bodily injury, property damage, personal injury** or **advertising injury** to which:

1. **you** must submit; or
2. **you** submit with our consent.

We do not have to provide defense after **we** have paid an amount equal to the **limit** as the result of:

1. a judgment; or
2. a written settlement agreed to by **us**.

If **we** defend a suit, **we** will pay:

1. The costs taxed to the **insured**.
2. The expenses incurred by **us**.
3. The actual loss of earnings by the **insured** for the time spent away from work at **our** request. **We** pay up to \$100 per day.
4. The necessary expenses incurred by the **insured** at **our** request.
5. Pre-judgment interest awarded against the **insured** on that part of the judgment **we** pay. If **we** offer to pay the limit, **we** will not pay any pre-judgment interest based on that period of time after the offer.
6. The interest which accrues beginning with entry of a judgment and ending when **we** tender, deposit in court, or pay up to **our limit**.

7. The cost of appeal bonds or bonds for the release of attachments up to **our limit**. **We** are not required to apply for or furnish such bonds.

8. The cost, up to \$500, for bail bonds required of an **insured** because of an accident or traffic violation arising out of the use of a vehicle to which Coverage L applies. **We** are not required to apply for or furnish such bonds.

EXCLUSIONS THAT APPLY TO ALL LIABILITY COVERAGES

We do not pay for a loss if one or more of the following excluded events apply to the loss, regardless of other causes or events that contribute to or aggravate the loss, whether such causes or events act to produce the loss before, at the same time as, or after the excluded event.

1. **We** do not pay for **bodily injury, property damage, personal injury, or advertising injury liability** which is expected by, directed by, or intended by an **insured**. This exclusion does not apply to **bodily injury** that arises out of the use of reasonable force to protect people or property.
2. **We** do not pay for **bodily injury, property damage, personal injury, or advertising injury** arising out of the willful violation of an ordinance, statute or regulation by an **insured** or with the **insured's** consent.
3. **We** do not pay for **bodily injury, property damage, personal injury, or advertising injury** which is assumed under a contract or an agreement. This exclusion does not apply to:
 - a. an incidental contract
 - b. liability for damages that an **insured** would have in the absence of the contract or agreement.
4. **We** do not pay for **bodily injury, property damage, personal injury, or advertising injury** that arises out of the rendering or the failure to render a professional service, except as provided by the coverage under **Incidental Medical Malpractice Injury**.
5. **We** do not pay for **bodily injury, property damage, personal injury or advertising injury** that arises out of the use of mobile equipment in or in the practice or preparation for racing, speed, pulling or pushing, demolition or stunt activities or contests.
6. **We** do not pay for **bodily injury, property damage, personal injury or advertising injury** that arises out of transporting mobile equipment by an auto owned by, operated by, rented to or loaned to an **insured**.

7. **We** do not pay for **bodily injury, property damage, personal injury or advertising injury** that arises out of the ownership, operation, maintenance, **use**, occupancy, renting, loaning, entrusting, supervision, loading or unloading of:

- a. an aircraft;
- b. an **auto**, except as provided under the Incidental Coverage- Mobile equipment. This exclusion does not apply to the parking of an **auto** on premises owned by, rented to or controlled by **you** or on the ways immediately adjoining if the **auto** is not owned by or rented to or loaned to an **insured**;
- c. a watercraft. This exclusion does not apply if the watercraft;
 - 1) is on shore on premises owned by, rented to or controlled by **you**; or
 - 2) is not owned by **you** and is less than 26 feet in length, and not being used to carry persons or property for a charge.

d. mobile equipment, except as provided under Incidental Coverage – Mobile Equipment.

8. **We** do not pay for:
- a. **bodily injury** to employee of an **insured** if it occurs in the course of employment; or
 - b. consequential injuries to a spouse, child, parent, brother or sister of such injured employee. Exclusion 8 applies where the **insured** is liable either as an employer or in any other capacity; or there is an obligation to fully or partially reimburse a third party for damages arising out of paragraph 8.a. or 8.b. above.

Exclusion 8 does not apply to liability assumed by an **insured** under an **incidental contract**.

9. **We** do not pay for **bodily injury or property damage**:
- a. arising wholly or partially out of the actual, alleged or threatened discharge, dispersal, release or escape of **pollutants**:

- 1) at or from any premises **you** own, rent use or occupy, unless the **bodily injury or property damage** arises from the heat, smoke, or fumes of a fire which becomes uncontrollable or breaks out from where it was intended to be;
 - 2) at or from premises used by **you**, or for **you** or others, for the handling, storage, disposal, processing or treatment of waste;
 - 3) occurring in the transportation, handling, treatment, storage, disposal or processing of any materials, including waste , by or for **you** or by any person or organization for whom **you** may be legally liable; or
 - 4) at or from any premises where **you** or any contractor or subcontractor, directly or indirectly under your control, are working or have completed work:
 - a) if the pollutant is on the premises in connection with such work, unless the **bodily injury or property damage** arise from the heat, smoke or fumes of a fire which becomes uncontrollable or breaks out from where it was intended to be ; or
 - b) if the work in any way involves testing, monitoring, clean up, containing, treating, or removal of **pollutants**.
 - b. due to any loss, cost or expense arising out of governmental action or inaction involving in any way the testing, monitoring, clean-up, containing , treating or removal of **pollutants**.
10. **We** do not pay for **bodily injury or personal injury** if benefits are provided by the **insured** under a workers' compensation, non-occupational disability, occupational disease or like law.
11. **We** do not pay for **bodily injury or property damage** that arises out of war. War includes undeclared war, civil war, insurrection, rebellion or revolution, or an act or a condition of war.

ADDITIONAL EXCLUSIONS THAT APPLY TO PROPERTY DAMAGE LIABILITY

1. **We** do not pay for **property damage** to property owned by, occupied by or rented to an **insured**, except as covered under Coverage O.
2. **We** do not pay for **property damage** to premises **you** sell, give away or abandon, if the **property damage** arises out of any part of those premises. This exclusion does not apply if the premises are **your work** and were not occupied, rented, or held for rental by **you**.

3. **We** do not pay for **property damage** to property used by or loaned to **you**. This exclusion does not apply with respect to liability assumed under a sidetrack agreement.
4. **We** do not pay for **property damage** in the care, custody or control of the **insured**. This exclusion does not apply with respect to liability assumed under a sidetrack agreement.
5. **We** do not pay for **property damage** to that specific part of real property on which work is being performed by:
 - a. **you**; or
 - b. a contractor or subcontractor working on **your** behalf, if the **property damage** arises out of such work. This exclusion does not apply with respect to liability assumed under a written sidetrack agreement.
6. **We** do not pay for **property damage** to that specific part of any property that must be restored, repaired, or replaced because of faulty workmanship. This exclusion does not apply to:
 - a. **property damage** covered under the **Products/Completed Work Hazard**; or
 - b. liability assumed under a sidetrack agreement.
7. **We** do not pay for **property damage** to **your products** if the damage is caused by the product or a part of it.
8. **We** do not pay for **property damage** to work performed by **you** if the damage is caused by the work or part of the work and included in the **Products/Completed Work Hazard**. This exclusion does not apply if damage to the work or the part of the work out of which the damage arises is performed by a subcontractor on **your** behalf.
9. **We** do not pay for **property damage** to property that has not been physically injured or destroyed, or to **impaired property**, that results from:
 - a. a delay or failure to perform a contract by **you** or one acting on **your** behalf; or
 - b. a defect, deficiency, inadequacy or unsafe condition in **your products** or **work** performed by **you** or on **your** behalf.

This exclusion does not apply to the loss of use of property resulting from sudden and accidental injury to or destruction of **your products** or **your work** after the **products** or **work** have been put to their intended use.

10. **We** do not pay for any loss or expense incurred by **you** or anyone else arising out of the loss of use, disposal, withdrawal or recall, (including any expenses involved in the withdrawal or recall) of **your products , your work or impaired property**. This applies when the loss of use, disposal, withdrawal or recall was because of a known or suspected defect, deficiency, or unsafe condition.

ADDITIONAL EXCLUSIONS THAT APPLY TO MEDICAL PAYMENTS

1. **We** do not pay for medical expenses for **bodily injury** to an **insured**.
2. **We** do not pay for medical expenses for **bodily injury** to
 - a. a person hired by or on behalf of any **insured** to do work for an **insured**;
 - b. a tenant of an **insured**.
3. **We** do not pay for medical expenses for **bodily injury** to a person injured on that part of the premises owned by or rented to **you** that the person normally occupies.
4. **We** do not pay for medical expenses for **bodily injury** to a person while taking part in athletic activities.
5. **We** do not pay for medical expenses for **bodily injury** included in the **Products/Completed Work Hazard**.
6. **We** do not pay for medical expenses for **bodily injury** to a person if benefits are provided or required to be provided under any workers' compensation, nonoccupational disability, occupational disease, or like law.

ADDITIONAL EXCLUSIONS THAT APPLY TO PERSONAL AND ADVERTISING INJURY LIABILITY

1. **We** do not pay for **personal injury or advertising injury** arising out of oral or written publication of material:
 - a. if done by or at the direction of an **insured** who knew it was false; or
 - b. whose first publication was prior to the policy period.
2. **We** do not pay for **personal injury or advertising injury** arising out of willful violation of an ordinance, statute or regulation by an **insured** or with the **insured's** consent.
3. **We** do not pay for **personal or advertising injury** which is assumed under a contract or an agreement. This exclusion does not apply to liability for damages that the **insured** would have in the absence of the contract or agreement.
4. **We** do not pay for **advertising injury** arising out of breach of contract, other than misappropriation of advertising ideas under an implied contract.
5. **We** do not pay for **advertising injury** arising out of the failure of goods, products or services to conform with advertised quality or performance.
6. **We** do not pay for **advertising injury** arising out of wrong descriptions of the price of goods, products or services.
7. **We** do not pay for **advertising injury** arising from an offense committed by an **insured** whose business is advertising, broadcasting, publishing, or telecasting.

WHAT MUST BE DONE IN CASE OF A LOSS

1. **Notice --**

- a. In the case of an **occurrence**, or if an **insured** becomes aware of anything that indicates that there might be a claim under the Commercial Liability Coverage, the **insured** must promptly give notice to **us** or our agent.
- b. The notice to **us** must state:
 - 1) the **insured's** name;
 - 2) the policy number;
 - 3) the time, the place and the circumstances of the **occurrence**; and

- 4) the names and addresses of all known and potential claimants and witnesses.

2. **Volunteer Payments --** An **insured** must not make payments or assume obligations or other costs except at the **insured's** own cost. This does not apply to first aid to others at the time of **bodily injury**.

3. **Other Duties --**

- a. If a claim is made or suit is brought, the **insured** must:

- 1) promptly send to **us** copies of all legal papers, demands and notices; and
- 2) at **our** request, assist in:
 - a) a settlement;
 - b) the conduct of suits. This includes the attendance at trials or hearings;
 - c) the enforcing of rights against all parties who may be liable to an **insured** for the injury or damage;
 - d) the securing of and giving of evidence; and
 - e) obtaining the attendance of all witnesses.

b. In the case of a medical payments loss;

- 1) the injured person (or one acting on such person's behalf) must;
 - a) give **us** written proof of claim (under oath if requested) as soon as practicable; and
 - b) give **us** permission to get copies of the medical records.
- 2) the injured person must submit to medical exams by doctors chosen by **us** when and as often as **we** may reasonably require

HOW MUCH WE PAY

1. The **limits** shown on the Declarations and subject to the following conditions, are the most **we** pay regardless of the number of:

- a. **Insureds** under the Commercial Liability Coverage;
- b. persons or organizations who sustain injury or damage; or
- c. claims made or suits brought.

The payment of a claim under Coverage M does not mean that **we** admit **we** are liable under other coverages.

2. The General Aggregate **Limit** is the most **we** will pay during a policy period for the sum of:

- a. all damages under Coverage L and Coverage P, except damages due to injury or damage included in the **Products/Completed Work Hazard**; and
- b. all medical expenses under Coverage M; and

3. The Aggregate **Limit** shown for **Products/Completed Work Hazard** is the most **we** will pay during a policy period under Coverage N for damages due to injury or damage included under the **Products/Completed Work Hazard**.

4. The Each **Occurrence Limit**, subject to the General Aggregate **Limit** and the **Products/Completed Work Hazard Limit**, is the most **we** will pay for the total of:

- a. damages under Coverages L and N; and
- b. medical expenses under Coverage M.

due to all **bodily injury** and **property damage** arising out of a single **occurrence**.

5. Subject to the Each **Occurrence Limit**, and the General Aggregate **Limit**, **our limit for property damage** covered under Fire Legal Liability is \$50,000 for each **occurrence** unless otherwise shown on the Declarations.
6. Subject to the General Aggregate and the Each **Occurrence Limits**, the Medical Payment **Limit** is the most that **we** will pay under Coverage M for all medical expenses because of **bodily injury** sustained by any one person.
7. Subject to the General Aggregate **Limit** and the Each **Occurrence Limit** applies to Coverage P is the most **we** will pay as damages for all **personal** and **advertising injury** arising out of a single **occurrence**.

The General Aggregate **Limit** and Aggregate **Limit** shown for **Products/Completed Work Hazard** apply separately to each consecutive 12 month period beginning with the inception date of the Commercial Liability Coverage shown on the Declarations. They also apply separately to any remaining policy period of less than 12 months, unless the Commercial Liability Coverage had been extended after it was written. In that case the additional period will be considered part of the last preceding period for the purpose of determining **limits**.

CONDITIONS

1. **Bankruptcy** -- Bankruptcy or insolvency of an **Insured** does not relieve **us** of **our** obligations under Commercial Liability Coverage.
2. **Suit Against Us** -- No suit may be brought against **us** unless:
 - a. all the **terms** of the Commercial Liability Coverage have been complied with; and
 - b. the amount of the **insured's** liability has been determined by:
 - 1) a final judgment against an **insured** as a result of a trial; or
 - 2) a written agreement by the **insured**, the claimant, and **us**.

No person has a right under the Commercial Liability Coverage to join **us** or implead **us** in actions that are brought to determine an **insured's** liability.
3. **Commercial Liability Coverage Premium** -- If the premium is shown on the Declarations as a deposit premium, **we** will compute the final earned premium at the end of each audit period shown on the declarations. If it is more than the deposit premium paid by **you**, **we** will bill **you** for the difference. If the final earned premium is less than the deposit premium paid by **you**, **we** will return the difference to **you**. **You** must maintain records of the information that is necessary for computing the premium. Copies of the records must be sent to **us** at the end of the audit period or when requested by **us**.
4. **Insurance Under More Than One Policy-**
(Applies to all coverages except Coverage M – Medical Payments.)
 - a. Insurance under this Commercial Liability Coverage is primary except as provided under paragraph 4.c. below, or unless otherwise stated. The amount of **our** liability is not reduced because of other insurance which applies to the loss on other than a primary basis.
 - b. If the other insurance is also primary, **we** will share in the loss as follows:
 - 1) If the other insurance provides for contribution by equal shares, **we** will pay equal amounts with other insurers until:
 - a) the closest applicable **limit** under any one policy is reached; or
 - b) the full amount of the loss is paid. If part of the loss remains unpaid, **we** will pay an equal share with the other insurers until the full amount of the loss is paid, or until **we** have paid **our limit** in full.
 - 2) If the other insurance does not provide for contribution by equal shares, **we** will pay no more than that proportion of the loss to which the applicable **limit** under this policy for such loss bears to the total applicable **limit** for all insurance against the loss.
 - c. Insurance under this Commercial Liability Coverage is excess over any other insurance:
 - 1) if the other insurance, whether primary, excess, contingent, or on any other basis, provides:
 - a) fire, extended coverage, builders' risk, installation risk or similar coverage for **your work**; or
 - b) fire insurance for premises rented to **you**; or
 - 2) if the other insurance applies to any loss arising out of the maintenance or use of aircraft, autos or watercraft which may be covered by this policy.
 - d. When this insurance is excess over any other insurance:
 - 1) **we** will have no duty under Coverage L to defend any claim or suit that any other insurer has a duty to defend. If no other insurer defends, **we** will do so. However, **we** will be entitled to the **insured's** rights against all those other insurers.
 - 2) **we** will pay **our** share of the amount of loss, if any, that exceeds the sum of:
 - a) the total amount that all such other insurance would pay for the loss in the absence of this insurance; and
 - b) the total of all deductibles and self-insured amounts required by such other insurance.

We will share the remaining loss with any other insurance that is not described in this excess insurance provision and was not bought specifically to apply in excess of the **limits** shown on the Declaration page of this Commercial Liability Coverage.

5. **Separate Insureds** -- Coverage provided under the Commercial Liability Coverage applies separately to each **insured** against whom claim is made or suit is brought. This does not affect the **limits** stated under How Much **We Pay**.
6. **Motor Vehicle Financial Responsibility Certification** -- When Commercial Liability Coverage is

certified as proof of financial responsibility for the future under the provisions of any motor vehicle financial responsibility law, the insurance provided for **bodily injury** liability or **property damage** liability will comply with the provisions of the law to the extent of the coverage and **limits** of insurance required by that law.

NUCLEAR ENERGY LIABILITY EXCLUSION

This insurance does not apply:

1. under any liability coverage, to **bodily injury** or **property damage**:
 - a. with respect to which an **insured** under the policy is also an **insured** under a Nuclear Energy Liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Insurance Association, Mutual Atomic Energy Liability Underwriters, Nuclear Insurance Association of Canada, or any of their successors, or would be an **insured** under any such policy but for its termination upon exhaustion of its **limit** of liability; or
 - b. resulting from the **hazardous properties of nuclear material** and with respect to which:
 - 1) any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereto; or
 - 2) the **insured** is, or had this policy not been issued would be, entitled to indemnity from the United States of America or any agency thereof, under any agreement entered into by the United States of America or any agency thereof, with any person or organization.
2. under any Medical Payments coverage, to expenses incurred with respect to **bodily injury** resulting from the **hazardous properties of nuclear material** and arising out of the operation of a **nuclear facility** by any person or organization.
3. under any liability coverage, to **bodily injury** or **property damage** resulting from the **hazardous properties of nuclear material**, if:
 - a. the **nuclear material**:
 - 1) is at any **nuclear facility** owned by, or operated by or on behalf of, an **insured**; or
 - 2) has been discharged or dispersed therefrom;

- b. the nuclear material is contained in **spent fuel** or **waste** at any time possessed, handled, used, stored, processed, transported or disposed of by or on behalf of an **insured**; or
- c. the **bodily injury** or **property damage** arises out of the furnishing by an **insured** of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation, or use of any **nuclear facility**, but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion (c.) applies only to **property damage** to such **nuclear facility** and any property thereat.

DEFINITIONS

The following definitions apply to the Nuclear Energy Liability Exclusion:

1. **Hazardous Properties** -- These include radioactive, toxic, or explosive properties.
2. **Nuclear Material** -- This means source material, **special nuclear material**, or **by-product material**.
3. **Source Material, Special Nuclear Material, By-product Material**-- These have the meanings given them in the Atomic Energy Act of 1954, or in any law amendatory thereof.
4. **Spent Fuel** -- This means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a **nuclear reactor**.
5. **Waste** -- This means any **waste material**:
 - a. containing **by-product material** other than the tailings or **wastes** produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its **source material** content; and
 - b. resulting from the operation by any person or organization of any **nuclear facility** included under the first two paragraphs of the definition of **nuclear facility**.

6. **Nuclear Facility** -- This means:
 - a. any **nuclear reactor**.
 - b. any equipment or device designed or used for:
 - 1) separating the isotopes of uranium or plutonium;
 - 2) processing or utilizing **spent fuel**; or
 - 3) handling, processing, or packaging **waste**.
 - c. any equipment or device used for the processing, fabricating, or alloying of **special nuclear material** if at any time the total amount of such material in the custody of the **insured** at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium-233 or any combination thereof, or more than 250 grams of uranium-235.
 - d. any structure, basin, excavation, premises or place prepared or used for the storage or disposal of **waste**, and includes the site on which any of the foregoing is located, all operations conducted on such sites, and all premises used for such operations.
7. **Nuclear Reactor** -- This means any apparatus designed or used:
 - a. to sustain nuclear fission in a self-supporting chain reaction; or
 - b. to contain a critical mass of fissionable material.
8. **Property Damage** -- This includes all forms of radioactive contamination of property.

COMMERCIAL PROPERTY COVERAGES

The Commercial Property Coverage Section contains the additional definitions, coverage descriptions, perils insured against, exclusions, and conditions that apply to Contractor's Property Coverages.

ADDITIONAL DEFINITIONS

1. **Falling Objects** -- This means **falling objects** but does not include loss or damage to personal property in the open or to the interior of buildings or personal property inside buildings unless the exterior of the roof or walls are first damaged by a **falling object**.
2. **Sinkhole collapse** -- This means the sudden settlement or collapse of earth supporting the covered property into subterranean voids created by the action of water on a limestone or similar rock formation. It does not include the value of the land or the cost of filling sinkholes.
3. **Specified perils** -- This means aircraft; civil commotion; explosion; **falling objects**; fire; hail; leakage from fire extinguishing equipment; lightning; riot; **sinkhole collapse**; smoke; sonic boom; vandalism; vehicles; **volcanic action**; **water damage**; weight of ice, snow, or sleet; and windstorm.
4. **Valuable papers and records** -- This means abstracts, account books, bills, blue prints, card index systems, data processing media and programs, deeds, designs, drawing, evidence of debt, manuscripts, plans, specifications and other records.

5. **Volcanic action** - This means airborne volcanic blast or airborne shock waves; ash, dust, or particulate matter; or lava flow. It does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss to the covered property.
6. **Water damage** -- This means the accidental discharge or leakage of water or steam as a direct result of breaking or cracking of a part of the system or appliance containing the water or steam.

PRINCIPAL COVERAGES

We provide insurance for the following coverages for which a specific **limit** or premium charge is shown on the Declarations. **We** insure against loss caused by the perils insured against, subject to all the policy **terms**.

COVERAGE A -- BUILDINGS

We cover the building and structures described on the Declarations. This includes the following property located on the **described premises**:

1. additions;
2. fixtures, machinery, and equipment which are a permanent part of the building and are used to provide building services;
3. outdoor fixtures;

4. personal property used to maintenance or service the **described premises**, including air-conditioning equipment; fire extinguishing apparatus; floor coverings; and appliances for refrigerating, cooking, dish washing, and laundering;
5. materials, equipment, supplies intended for use in construction, alteration or repair of the buildings; and
6. buildings that are auxiliary to the building described on the Declarations.

COVERAGE B -- BUSINESS PERSONAL PROPERTY

We cover **your** business personal property in the described buildings or in the open (or in vehicles) on or within 100 feet of the **described premises**. This includes:

1. **your** interest in personal property of other to the extent of **your** labor, material, services; and
2. **your** use interest in improvements to the described building. Improvement means fixtures, alterations, installations, or additions to a building **you** do not own. These improvements must have been made or acquired at **your** expense, other than rent, and not be legally subject to removal by **you**:

COVERAGE C – LOSS OF INCOME

We provide the Earnings and Extra Expense Coverages shown below when **your** business is necessarily interrupted by loss or damage to real or personal property caused by peril insured against during the policy period.

We will pay only the loss of earnings and extra expenses incurred within 12 consecutive months after the loss or damage to property. **We** will not pay more for loss of earnings and extra expense combined than the **limit** shown on the Declarations.

1. EARNINGS

We cover **your** actual loss of net income, payroll expense, taxes, interest, rents and other operating expenses normally earned by **your** business. Net income means profit or loss before income tax.

We cover only such expenses that are necessary during this interruption of business. Consideration will be given to continuation of payroll and other expenses to the extent necessary to resume **your**

business with the same quality of service that existed before the loss.

We cover **your** loss for the time it should reasonable take to resume **your** business, but no longer than the time it should reasonably take to rebuild, repair or replace the covered property that has incurred the loss or damage. The loss is not limited by the expiration date of the policy.

You must do all **you** can to reduce the loss. **We** do not cover any increase in loss due to **your** failure to use reasonable efforts to resume complete or partial business. This includes making use of other location and property to reduce the loss.

We will cover expenses in excess or normal that **you** necessarily incur to reduce the loss, but only to the extent that they reduce the loss under this coverage.

In determining a loss, **we** will consider the experience of **your** business before the loss and the probable experience, had no loss occurred.

2. EXTRA EXPENSES

We cover the necessary extra expenses that **you** incur in order to continue as nearly as practical **your** normal business activities following damage by a peril insured against.

We cover **your** extra expenses for the time it should reasonably take to resume **your** normal business, but no longer than that time it should reasonably take to rebuild, repair or replace the property that has incurred the loss or damage. The loss is not limited by the expiration date of the policy.

You do all **you** can to resume **your** business and to reduce the loss. **We** do not cover any increase in loss due to **your** failure to use reasonable efforts to resume complete or partial business. This includes making use of other locations and property to reduce the loss.

The salvage value of any property bought for temporary use shall be deducted from the amount of loss determined for extra expense.

COLLAPSE COVERAGE

We pay for loss caused by or resulting from direct physical loss involving collapse of a building or any part of a building caused only by one or more of the following:

1. **specified perils;**
2. hidden decay;
3. hidden insect or vermin damage;
4. weight of people or business personal property;
5. weight of rain that collects on a roof; or
6. the use of defective materials or methods in construction, remodeling or renovation if the collapse occurs during the course of the construction, remodeling or renovation.

We will not pay for loss or damage to the following types of property, if otherwise covered in this Collapse Coverage part, under the above items 2. through 6. Inclusive unless the loss or damage is a direct result of the collapse of a building:

outdoor radio, television, satellite, dish-type or other antennas and their masts, towers, or lead-in wiring; outdoor awnings or canopies of fabric or slat construction or their supports; fences; outdoor signs, gutters or downspouts; yard fixtures; outdoor swimming pools; piers, wharves, or docks; beach or diving platforms or appurtenances; retaining walls; foundations; walks, roadways, or other paved surfaces.

Collapse does not include settling, cracking, shrinking, bulging, or expanding.

This does not increase the **limit** for the covered property.

INCIDENTIAL PROPERTY COVERAGES

We provide the following extensions of **your** Commercial Property Coverages.

Unless otherwise stated each incidental coverage;

- a. applies for loss caused by a peril insured against.
 - b. applies only at the **described premises**; and
 - c. is an additional amount of insurance.
1. The following extension of coverage apply to either Coverage A or Coverage B.
 - a. **Antennas, Awnings, Canopies, Fences, and Signs** – **You** may apply an amount up to \$1,000 to cover **your** outdoor:
 - 1) radio, television, satellite, dish-type or other antennas or their masts, towers and lead-in wiring;

- 2) awnings or canopies of fabric or slat construction or their supports;
- 3) fences; or
- 4) signs.

- b. **Debris Removal** -- **We** cover the cost to remove the debris of covered property that is caused by a peril insured against. This coverage does not include costs to:

- 1) extract **pollutants** from land or water; or
- 2) remove, restore or replace polluted land or water.

We will not pay any more under this debris removal coverage than 25 percent of the amount **we** pay for the direct loss or damage. **We** will not pay more for loss to property and debris removal combined than the **limit** for the damaged property.

However, **we** will pay an additional amount of debris removal expense up to \$5,000 when the debris removal expense exceeds 25 percent of the amount **we** pay for direct loss or damage or when the loss to property and debris removal combined exceeds the **limit** of insurance for the property.

We will not pay any expenses unless they are reported to **us** within 180 days of the direct physical loss to covered property.

- c. **Fire Department Service Charges** – **You** may apply an amount up to \$1,000 to cover **your** liability, assumed by contract or agreement prior to the loss, for fire department service charges.

This coverage is limited to charges incurred when the fire department is called to save or protect covered property from a covered peril.

- d. **Removal** -- **We** cover loss to covered property while removed or being removed from the **insured** location for preservation from damage caused by a peril insured against. This coverage applies for up to 10 days, but does not extend past the expiration of the policy.
- e. **Repairs** – **We** cover the cost of repairs that are reasonable and necessary to protect covered property from further damage after damage resulting from a peril insured against. **We** will not pay more for loss to property and repairs combined than the **limit** of insurance for the property.

2. The following extensions of coverage applies only to Coverage A.

- a. **Newly Acquired Buildings** – **You** may apply an amount up to 25 percent of the **limit** of insurance, but not exceeding \$100,000, to cover **your** buildings or structures being built or that **you** acquire. This coverage is for up to 30 days after construction is started or **you** acquire the building, but not beyond the expiration of the policy. **We** only cover loss at such locations within the **basic territory**. Additional premium will be charged from the date construction is started or the date **you** acquire the building.
- b. **Trees, Shrubs and Plants** – **You** may apply an amount up to \$1,000 to cover outdoor trees, shrubs and plants. **We** only cover loss caused by aircraft, civil commotion, explosion, fire, lightning or riot. This coverage is limited to \$250 on any on tree, shrub or plant, including debris removal.

3. The following extensions of coverage apply only to Coverage B:

- a. **Personal Property - Acquired Locations** – **You** may apply an amount up to 10 percent of the **limit** of insurance, but not exceeding \$20,000, to property covered at locations that **you** acquire, other than at fairs or exhibitions. This coverage applies for up to 30 days after **you** acquire this location, but not beyond the expiration of the policy.
- b. **Personal Property -- Off Premises** -- **We** pay up to \$2,500, unless otherwise shown on the Declarations, to covered property while temporarily at locations within the **basic territory** that **you** do not own, control, rent or lease. Coverage applies while the property is in transit or at a job site.

Covered property includes:

- 1) portable tools and equipment, including spare parts and accessories; and/or
- 2) materials, supplies, machinery and fixtures that are owned by **you**, or for which **you** are legally liable.

- c. **Personal Property of Others** – **You** may apply up to \$2,500 to cover personal property of others in **your** care. This coverage is

only for the benefit of the owners of the personal property.

- d. **Valuable Papers and Records - Research Cost** – **You** may apply an amount up to \$1,000, to cover the cost of research or other expenses necessary to

4. The following extensions of coverage apply only to Coverage C:

- a. **Alterations and New Buildings** -- **We** extend **your** coverage to include loss caused by damage to additions, alterations and new buildings under construction at the **described premises** by a peril insured against. **We** cover **your** loss for the delay in using such additions, alterations and new buildings starting from the time business would have begun had no damage occurred. This does not increase the **limit** of insurance.
- b. **Interruption by Civil Authority** -- **We** extend **your** coverage to include loss while access to **your** premises is specifically denied by an order of civil authority. This order must be a result of damage to property in the immediate vicinity and caused by a peril insured against. This extension is limited to two consecutive weeks. This does not increase the **limit** of insurance.
- c. **Newly Acquired Locations** -- **We** extend **your** coverage for an amount up to \$100,000 to include loss caused by damage to locations that **you** acquire, other than at fairs or exhibitions. This coverage applies for 30 days after **you** acquire this location but not beyond the expiration of this policy.

We only cover loss at such locations within the **basic territory** and caused by a peril insured against. Additional premium will be charge from the date **you** acquired the locations. This is an additional amount of insurance.

- d. **Period of Loss Extension** -- **We** extend **your** coverage to cover loss for the time from the date the property that incurred the loss or damage is rebuilt, repaired, or replaced until the date **you** could reasonably resume **your** normal business or the end of 30 consecutive days, whoever is earlier. This does not increase the **limit** of insurance.

PROPERTY NOT COVERED OR SUBJECT TO LIMITATIONS

- 1. The following exclusions are applicable to Coverage A -- Buildings and Coverage B -- Business Personal Property. Limited coverage of some of these types

of property is included in the Incidental Property Coverages.

- a. **Animals** –We do not cover animals, including birds and fish.
 - b. **Antennas, Awnings, Canopies, Fences and Signs** – We do not cover outdoor:
 - 1) radio, television, satellite, dish-type or other antennas and their masts, towers and lead-in wiring;
 - 2) awnings or canopies of fabric or slat construction or their supports;
 - 3) fences; or
 - 4) signs.
 - c. **Boilers** -- We do not cover loss to hot water boilers or heaters, steam boilers, steam pipes, steam turbines or steam engines caused by any condition or occurrence within such equipment, including bursting, cracking, exploding or rupturing. This exclusion does not apply to loss or damage caused by explosion of gas or fuel in the fire box combustion chamber or flues; or loss or damage to hot water boilers or heaters caused by internal explosion.
 - d. **Contraband** -- We do not cover contraband or property in the course of illegal transportation or trade.
 - e. **Foundations, Retaining walls, Piling, Piers, Wharves or Docks** – We do not cover foundations which are below the lowest basement floor or below ground level if there is no basement; retaining walls that are not part of buildings; or pilings, piers, wharves or docks.
 - f. **Glass Breakage** -- We do not cover building glass breakage for more than \$100 for any plate, pane, multiple plate insulating unit, heating pane, jalousie, louver or shutter or more than \$500 in any one occurrence. These **limits** do not apply to loss by a **specified peril** other than vandalism.
 - g. **Land, Cost of excavation, Grading or Filling, Paved Surfaces, or Underground Pipes, Flues or Drains-** We do not cover:
 - 1) land, including land on which the property is located;
 - 2) cost of excavations, grading or filling;
 - 3) paved outdoor surfaces, including driveways, parking lots, roads and walks; or
 - 4) underground pipes, flues and drains.
 - h. **Money, Securities or Lottery Tickets** -- We do not cover money, securities or lottery tickets.
 - i. **Personal Property of Others-** We do not cover personal property owned by others.
 - j. **Property More Specifically Insured** – We do not cover property which is more specifically **insured** in whole or in part by any other insurance.
 - k. **Trees, Shrubs, and Plants** -- We do not cover trees, shrubs and plants, including lawns and growing crops.
 - l. **Valuable Papers and Records** – We do not cover loss to valuable papers or records unless the loss is caused by a **specified peril**.
 - m. **Vehicles and Aircraft and Watercraft** -- We do not cover vehicles designed for use on public roads; aircraft; or watercraft, including motors, equipment and accessories while afloat.
 - n. **Water-** We do not cover underground or surface water.
2. The following exclusions are applicable only to Coverage C – Loss of Income.
- a. **Delayed Rebuilding, Repairing or Replacement** -We do not cover any loss beyond the time it should reasonably take to rebuild, repair or replace the property that has insured the loss or damage.
 - b. **Electronic Equipment** -- We do not cover earnings loss caused by loss or damage to media, programs or records for electronic data processing or electronically controlled beyond 60 consecutive days, or the time necessary to rebuild, repair or replace other damaged property whichever is greater.
 - c. **Environmental Damage** – We do not cover any increase in loss caused by any law, regulation or decree that regulated the prevention, control, repair, decontamination, clean-up or restoration of environmental damage.
 - d. **Fire extinguishment** – We do not cover expenses to put out a fire.
 - e. **Leases, Licenses, Contracts or Orders** – We do not cover an increase in loss dues to the suspension, lapse or cancellation of leases, licenses, contracts or orders.
- We** do cover such loss resulting directly from the interruption of **your** business, but not beyond the time the business could have been resumed.
- f. **Property Damage** – We do not cover the normal cost of repair, replacement or restoration of property.
 - g. **Records** – We do not cover the cost of research or other extra expense necessary to replace records, including electronic date processing or electronically controlled equipment programs, data or media.
 - h. **Strikes, Protests and Other Interference** - We

do not cover any increase in loss due to interference by strikers or other persons at the described premises. This applies to interference

with rebuilding, repairing, or replacing the property or with resuming **your** normal business activities.

PERILS INSURED AGAINST- COVERAGES A AND B

Coverage A – Buildings and Coverage B – Business Personal Property – We insure against risk of direct physical loss unless specifically excluded.

The following exclusions apply to Coverages A and B:

1. **We** do not pay for loss if one or more of the following exclusions apply to the loss, regardless of other causes or events that contribute to or aggravate the loss, whether such causes or events act to produce the loss before, at the same time as, or after the excluded causes or events.

- a. **Civil Authority -- We** do not cover loss caused by order of any civil authority, including seizure, confiscation or destruction of property.

We do cover loss resulting from acts of destruction by the civil authority to prevent the spread of fire, unless the fire is caused by a peril excluded under this policy.

- b. **Collapse -- We** do not cover loss or damage caused by or resulting from collapse. This exclusion does not apply to loss or damage caused by or resulting from collapse described in the collapse Coverage section of the Commercial Property Coverages.
- c. **Defects, Errors, and Omissions -- We** do not cover loss which results from one or more of the following:

- 1) an act, error, or omission (negligent or not) relating to:
 - a) land use;
 - b) the design, specification, construction, workmanship, installation or maintenance of property;
 - c) planning, zoning, development, siting, surveying, grading, or compaction; or
 - d) maintenance of property (including land, structures, or improvements);

whether on or off the premises;

- 2) a defect, a weakness, the inadequacy, a fault or unsoundness in materials used in construction or repair, whether on or off the premises;

- 3) the cost to make good an error in design; or
- 4) a data processing error or omission in programming or giving improper instructions.

In addition, **we** do not pay for loss to Business Personal Property caused by deficiency or defects in design, specifications materials or workmanship, or caused by or resulting from latent or inherent defects.

We will cover any resulting loss caused by a peril insured against unless the resulting loss itself is excluded.

- d. **Earth Movement or Volcanic Eruption -- We** do not cover loss caused by any earth movement (other than **sinkhole collapse**) or caused by eruption, explosion or effusion of a volcano. Earth movement includes, but is not limited to, earthquake; landslide; mudflow; mudslide; or sinking, rising, or shifting of earth.

We will cover direct loss by fire, explosion, or **volcanic action** resulting from either earth movement or eruption, explosion, or effusion of a volcano.

All volcanic eruptions that occur within a 72 hour period will be considered a single loss.

- e. **Nuclear Hazard -- We** do not cover loss caused by or resulting from a nuclear reaction, nuclear radiation or radioactive contamination (whether controlled or uncontrolled; whether caused by, contributed to, or aggravated by a covered peril insured against and whether caused by natural, accidental, or artificial means). Loss caused by nuclear hazard is not considered loss caused by fire, explosion, or smoke. Direct physical loss by fire resulting from the nuclear hazard is covered.
- f. **Ordinance or Law -- We** do not cover loss or increased cost caused by enforcement of any ordinance, law or decree that regulates the construction, use, repair or demolition of covered property.
- g. **Utility Failure -- We** do not pay for loss caused by interruption of power or other utility services resulting from any cause if the interruption takes place away from the **described premises**. Interruption includes reduced voltage, low pressure, or other interruptions of normal services.

We will cover the direct physical loss by a peril insured against which occurs on the described premises as a result of any power interruption.

- h. **War -- We** do not cover loss caused by war. This means:

- 1) declared war, undeclared war, civil war, insurrection, rebellion, or revolution;
- 2) a warlike act by a military force or by military personnel;
- 3) the destruction, seizure, or use of the property for a military purpose; or
- 4) the discharge of a nuclear weapon, even if it is accidental.

- i. **Water -- We** do not cover loss caused by water. This means:

- 1) flood, surface water, waves, tidal water or the overflow of a body of water. This includes spray that results from these whether driven by wind or not;
- 2) water that backs up through a sewer or drain; and
- 3) water below the surface of the ground. This includes water that exerts pressure on or flows, seeps or leaks through or into a building, sidewalk, driveway, foundation, swimming pool or other structure.

If a fire, theft or explosion results, **we** do cover the loss caused by the fire, theft, or explosion, except for boiler explosion.

- j. **Weather -- We** do not cover loss to personal property in the open caused by rain, snow, ice or sleet. **We** do cover loss to the interior of buildings caused by rain, snow, sand or dust, unless entering through openings made by a **specified peril**.
2. **We** do not pay for loss or damage if one or more of the following exclusions apply to the loss:
- a. **Animals -- We** do not cover loss caused by or resulting from animals, including birds, insects or vermin. **We** will cover any resulting loss caused by a **specified peril**.
- b. **Criminal, Fraudulent or Dishonest Act -- We** do not cover loss caused by or resulting from criminal, fraudulent, dishonest or illegal act, alone or in collusion with another, by;

- 1) **you**
- 2) others who have an interest in the property;
- 3) others to whom **you** entrust the property;
- 4) **your** partners, officers, directors, trustees,

joint adventurers; or

- 5) the employee or agents of 1), 2), 3) or 4) above, whether or not they are at work

- c. **Deterioration -- We** do not cover loss caused by or resulting from deterioration including corrosion, decay, fungus, mildew, mold, rot or rust. **We** will cover any resulting loss caused by a **specified peril**.
- d. **Disappearance -- We** do not cover unexplained or mysterious disappearance, or shortage discovered on taking inventory.
- e. **Electrical Currents -- We** do not cover loss caused by or resulting from arcing or by electrical currents other than lightning. If a fire results, **we** will cover only the loss caused by fire.
- f. **Explosion -- We** do not cover loss caused by or resulting from explosion of hot water boilers or heaters, steam boilers, steam turbines or steam engines that **you** own or lease or that are under **your** control. This exclusion does not apply to loss or damage caused by the explosion of gas in the firebox, combustion chamber or flues; or loss or damage to hot water boilers or heaters caused by internal explosion. If a fire results from this explosion, **we** do cover the loss caused by the fire.
- g. **Freezing -- We** do not cover loss caused or resulting from freezing of plumbing, heating, air-conditioning systems or appliances during vacancy or unoccupancy. This exclusion does not apply during permitted vacancy or unoccupancy if **you** used reasonable care to maintain heat in the building or to turn off the water and drain the equipment, if heat is not maintained.

We do not cover water damage caused by or resulting from freezing of fire protection systems or appliances during vacancy or unoccupancy. This exclusion does not apply during permitted vacancy or unoccupancy if **you** used reasonable care to maintain conditions necessary for the proper operation of the fire protection equipment.

- h. **Increase Hazard -- We** do not cover loss occurring while the hazard has been materially increased by any means within **your** knowledge or control.
- i. **Neglect -- We** do not cover loss caused by or resulting from **your** neglect to use all reasonable means to save covered property at and after the time of loss.

We do not cover loss or damage caused by or

- resulting from **your** neglect to use all reasonable means to save and preserve covered property when endangered by a peril insured against.
- j. **Pollutants – We** do not cover loss caused by or resulting from release, discharge or dispersal of pollutants unless the release, discharge or dispersal is caused by a **specified peril**. **We** will cover any resulting loss caused by a **specified peril**.
 - k. **Protective Safeguards – We** do not cover losses occurring while protective safeguards that **you** control are not in working condition. This exclusion applies only to protective safeguards shown on the Declarations and to the property, premises and perils affected. This lasts until the safeguards are back in order.
 - l. **Seepage -- We** do not cover loss caused by or resulting from continuous or repeated seepage or leakage from within a plumbing, heating or air-conditioning system or domestic appliance.
 - m. **Settling, Cracking, Shrinking, Bulging, or Expanding -- We** do not cover loss caused by or resulting from settling, cracking, shrinking, bulging or expanding of pavements, footings, foundations, walls, ceilings or roofs. **We** will cover any resulting loss caused by a **specified peril**.
 - n. **Smog, Smoke, Vapor, or Gas -- We** do not cover loss caused by or resulting from smog, smoke, vapor or gas from agricultural smudging or industrial operations.
 - o. **Temperature/Humidity -- We** do not cover loss to personal property caused by or resulting from dampness or changes in or extremes of temperature. **We** will cover any resulting loss caused by a **specified peril**.
 - p. **Theft of Property From Unattended Vehicles-- We** do not cover theft of property from unattended vehicles unless the loss results from

- forced entry of a securely locked compartment. There must be visible evidence of forcible entry
- q. **Vacancy/Unoccupancy – We** do not cover loss occurring while the building has been vacant beyond 60 consecutive days.

We do not cover loss occurring while the building has been unoccupied for more than 60 consecutive days or for more than the usual or incidental unoccupancy period for the described premises, whichever is longer. Unoccupied means that the customary activities or operations of the described occupancy are suspended, but personal property has not been removed. The building shall be considered vacant and not occupied when the occupants have moved leaving the building empty except for limited personal property.

- r. **Voluntary Parting -- We** do not cover loss caused by or resulting from voluntary parting with title to or possession of any property because of any fraudulent scheme, trick, or false pretense.
- s. **Wear/Breakdown-- We** do not cover loss caused by or resulting from wear and tear, mechanical breakdown, centrifugal force, marring, or scratching. **We** will cover any resulting loss caused by a **specified peril**.
- t. **Weight of a Load – We** do not cover loss caused by or resulting from the weight of a load when it exceeds the designed capacity of a machine to lift, move or support the load from any position.
- u. **Work or Operations – We** do not cover loss to property caused by or resulting from actual work or operations. This includes altering, contracting, installing, manufacturing, processing, servicing or testing. **We** will cover any resulting loss caused by **specified perils**.

WHAT MUST BE DONE IN CASE OF LOSS

1. **Notice --** In case of a loss, this **insured** must:
 - a. give **us** or **our** agent prompt notice (**we** may request written notice);
 - b. give notice to the police when the act that causes the loss is a crime.
 - c. give notice to the credit card company if the loss involves a credit card.
2. **Protect Property --** **You** must take all reasonable steps to protect covered property at and after an **insured** loss to avoid further loss. **We** pay for the costs. The **insured** must keep an accurate record of such costs. This does not increase **our limit**.
3. **Volunteer Payments --** **You** must not, except at **your** own expense, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as respects protecting property from further damage.
4. **Proof of Loss --** **You** must send **us** a statement of loss (under oath, if requested) within 60 days after the loss. This must include the following information:
 - a. the time, place, and circumstances of the loss;
 - b. other policies of insurance that may cover the loss;

- c. **your** interest and the interests of all others in the property involved, including all mortgages and liens;
 - d. changes in title or occupancy of the covered property during the policy period;
 - e. detailed estimates for repair or replacement of covered property;
 - f. available plans and specifications of buildings or structures;
 - g. detailed estimates of any covered loss of income and expenses; and
 - h. an inventory of damaged and undamaged covered personal property showing in detail the quantity, description, cost, actual cash value, and amount of the loss. **You** must attach to the inventory copies of all bills, receipts and related documents that substantiate the inventory. An inventory of undamaged personal property is not required if the total claim for a loss is less than \$10,000 and less than five percent of the total **limit** of insurance.
- 5. **Examination** – Any **insured** must submit to examination under oath in matters connected with the loss as often as **we** reasonably request and give **us** sworn statements of the answers. If more than one person is examined, **we** have the right to examine and receive statements separately and not in the presence of the others.
 - 6. **Records** -- **You** must produce records, including tax returns and bank microfilms of all cancelled checks, relating to value, loss, and expense and permit copies and extracts to be made of them as often as **we** reasonably request.
 - 7. **Damaged Property** – **You** must exhibit the damaged as often as **we** reasonably request.
 - 8. **Abandonment of Property** - **We** do not have to accept any abandonment of property.

HOW MUCH WE PAY

- 1. **Actual Cash Value** – When replacement cost is not indicated on the Declarations for Property Coverage, the loss payment will be based upon the actual cash value at the time of loss with a deduction for depreciation.
- 2. **Replacement Cost** –When replacement cost is indicated on the Declarations for Coverage A or Coverage B, the valuation of property insured under that Coverage shall be the replacement cost without any deduction for depreciation.

The replacement cost provision does not apply to carpeting, objects of art, rarity or antiquity, or property of others.

The replacement cost is limited to the cost of repair or replacement with similar materials on the same site and used for the same purpose. The payment shall not exceed the amount **you** spend to repair or replace the damaged or destroyed property. Replacement cost valuation does not apply until the damaged or destroyed property is repaired or replaced. **You** may make a claim for the actual cash value and later for the replacement cost if **you** notify **us** of **your** intent within 180 days after the loss.
- 3. **Rebuilding, Repairing or Replacing** – The valuation of losses is limited to the cost to rebuild, repair or replace with property of equivalent kind and quality, to the extent practicable.
- 4. **Glass** – Glass will be valued at the cost of safety glazing material where required by code, ordinance, or law.
- 5. **Merchandise Sold** – Merchandise that **you** have sold but not delivered will be valued at the selling price less all discounts and un-incurred expenses.
- 6. **Valuable Papers and Records** -- The valuation of valuable papers and records is based on the cost of blank materials.
- 7. **Tenant's Improvements** - Tenant's improvements losses will be valued at the basis applicable to Business Personal Property (actual cash value or replacement cost) if repaired or replaced at **your** expense within a reasonable time.

Tenant's improvements losses are not covered if repaired or replaced at another's expense.

Tenant's improvement losses will be valued at a portion of **your** original cost if not repaired or replaced within a reasonable time. This portion is the ratio between the time remaining on **your** lease and the time between the installation or acquisition of the improvements and the end of **your** lease. Any renewal options in **your** lease are to be considered in valuation of **you** loss.

Example:

Tenant's improvements installed at the

beginning of a five year lease with a five year extension. The value of the damaged or destroyed property after three years is 70 percent of **your** original cost is not repaired or replaced.

8. **Pair or Set** – Loss to an article which is part of a pair or set will be a reasonable proportion to the value of the entire pair or set. The loss is not considered a total loss of the pair or set.

PAYMENT OF LOSS OR CLAIM

1. **Our Options** – **We** have the following options:

- a. pay the loss;
- b. rebuild, repair or replace with property of equivalent kind and quality, to the extent practicable, within a reasonable time;
- c. take all or any part of the damaged property at the agreed or appraised value.

We must give **you** notice of **our** intent to rebuild, repair or replace within 30 days after receipt of a duly executed proof of loss.

2. **Insurable Interest** – **We** do not cover more than **your** insurable interest in any property.

3. **Your Losses** -- **We** will adjust all losses with **you**. Payment will be made to **you** unless another loss payee is named in the policy. An **insured** loss will be payable 30 days after a satisfactory proof of loss is received, and the amount of the loss has been established either by written agreement with **you** or the filing of an appraisal award with **us**.

4. **Property of Others** -- Losses to property of others may be adjusted with **you**. **We** reserve the right to adjust with and pay to the owners. Payment to the owners satisfies our obligation to **you** for loss to this property. **We** may also choose to defend any suits arising from the owners.

5. **Deductible** -- **We** pay only that part of **your** loss over the deductible amount stated on the Declarations in any one **occurrence**.

6. **Limit of Insurance** – **We** will not pay more than **our limit** of insurance for any loss.

7. **Automatic Increase** – The **limits** of insurance are increased when a percentage increase is shown on the Declarations. The increase shown is the annual percentage increase and applies proportionally from the date of the most recent **limit**. The increase applies only to the limits of insurance shown on the Declarations.

8. **Insurance Under More Than One Coverage** -- If more than one coverage of this policy insures the

same loss, **we** pay no more than the actual claim, loss or damage sustained.

9. **Insurance Under More Than One Policy** -If there is any other insurance which applies to a loss **we** pay only for the excess of the amount due from such other insurance, whether collectible or not.

10. **Benefit to Others** -- Insurance under the Property Coverage shall not directly or indirectly benefit anyone having custody of **your** property.

11. **Appraisal** – If **you** and **we** do not agree on the amount of the loss or the actual cash value of covered property, either party may demand that the amount be determined by appraisal.

If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, **you** or **we** can ask a judge of a court of record in the state where the property is located to select an umpire.

The appraisers will then determine and state separately the amount of each loss.

The appraisers will also determine the actual cash value of covered property items at the time of the loss, if requested. The appraisers will also determine any income or expense amounts, if requested.

If the appraisers submit a written report of any agreement to **us**, the amount agreed upon will be the amount of the loss, value, income or expense. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three, sets the amount of the loss, value, income or expense.

Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation for the umpire will be paid equally by **you** and **us**.

CONDITIONS

In additions to the policy terms which are contained in other sections of the Property Coverage , the following conditions apply.

1. **Control of Property** -- The Property Coverage is not affected by any act or neglect beyond **your** control.
2. **Mortgage Provisions** -- If a mortgagee (mortgage holder) is named in this policy, loss to buildings shall be paid to the mortgagee and **you** as interest appear. If more than one mortgagee is named, they shall be paid in order of precedence.

The insurance for the mortgagee continues in effect even when **your** insurance may be void because of **your** acts, neglect, or failure to comply with the coverage terms. The insurance for the mortgagee does not continue in effect if the mortgagee is aware of changes in ownership or substantial increase in risk and does not notify us.

We will also notify the mortgagee if **we** cancel the policy. The cancellation conditions apply to the mortgagee.

We may request payment of the premium from the mortgagee, if **you** fail to pay the premium.

If **we** pay the mortgagee for a loss where **your** insurance may be void, the mortgagee's right to collect that portion of the mortgage debt from **you** then belongs to **us**. This does not affect the mortgagee's right to collect the remainder of the mortgage debt from **you**. As an alternative, **we** may pay the mortgagee the remaining principal and accrued interest in return for a full assignment of the mortgagee's interest and any instruments given as security for the mortgage debt.

3. **Recoveries** -- If **we** pay **you** for the loss under the Property Coverage and lost or damaged property is

recovered, or payment is made by those responsible for the loss, the following provisions apply:

- a. **You** must notify **us** promptly if **you** recover property or receive payment.
 - b. **We** must notify **you** promptly if **we** recover property or receive payment.
 - c. Any recovery expenses incurred by either are reimbursed first.
 - d. **You** may keep the recovered property but **you** must refund to **us** the amount of the claim paid, or any lesser amount to which **we** agree.
 - e. If the claim paid is less than the agreed loss due to a deductible or other limiting term of this policy any recovery is pro rated between **you** and **us** based on **our** respective interest in the loss.
4. **Suit Against Us** -- No suit to recover any loss may be brought against **us** unless:
 - a. the **terms** of the Property Coverages have been fully complied with; and
 - b. the suit is commenced within two years after the loss.

If any applicable law makes this limitation invalid, then suit must begin within the shortest period permitted by the law.

5. **Waiver of Right of Recovery** – **You** may waive **your** right of recovery in writing before a loss without voiding the coverage.

You may waive **your** right of recovery in writing after a loss only to the following parties;

- a. someone **insured** by this policy;
- b. **your** tenant;
- c. a business firm owned or controlled by **you**; or
- d. a business firm which owns or controls your business.

AMENDATORY ENDORSEMENT NEW YORK

1. The reference to words that have special meaning is deleted and replaced by the following:

Refer to Definitions for words and phrases that have special meaning. These words and phrases are shown in quotation marks or bold type.

2. Under Common Policy Conditions, Cancellation is deleted and replaced by the following:

Cancellation, Nonrenewal, and Conditional Renewal --

- a. "You" may cancel this policy by returning the policy to "us" or by giving "us" written notice and stating at what future date coverage is to stop.

"We" may cancel this policy by written notice to "you" at the address shown on the "declarations" and to "your" authorized agent or broker. "Our" notice will specify the grounds for cancellation. Proof of delivery or mailing is sufficient proof of notice.

If this policy has been in effect for 60 days or less, "we" may cancel for any reason.

If this policy has been in effect for more than 60 days, or if it is a renewal of a policy issued by "us", "we" may cancel only for one or more of the following reasons:

- 1) the premium has not been paid when due;
- 2) "your" conviction of a crime arising out of acts increasing the hazard insured against;
- 3) discovery of fraud or material misrepresentation in obtaining the policy or in the presentation of a claim thereunder;
- 4) after issuance of the policy or after the last renewal date, discovery of an act or omission, or a violation of any policy condition that substantially and materially increases the hazard insured against and which occurred subsequent to inception of the current policy period;

- 5) material physical change in the property insured, occurring after issuance or last annual renewal anniversary date of the policy, which result in the property becoming uninsurable in accordance with "our" objective, uniformly applied underwriting standards in effect at the time the policy was issued or last renewed; or material change in the nature or extent of the risk, occurring after issuance or last annual renewal anniversary date of the policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the policy was issued or last renewed;
- 6) required pursuant to a determination by the Superintendent of Insurance that continuation of "our" present premium volume would jeopardize "our" solvency or be hazardous to the interests of "our" policyholders, creditors, or the public;
- 7) a determination by the Superintendent that a continuation of the policy would violate, or would place "us" in violation of, any provision of New York Insurance Laws; or
- 8) where "we" have reason to believe, in good faith and with sufficient cause, that there is a probable risk or danger that "you" will destroy, or permit to be destroyed, "your" property for the purpose of collecting the insurance proceeds.

If "we" cancel this policy for any of the reasons listed in a.1) through 8), "we" will give "you" notice at least 15 days before cancellation is effective.

If "we" cancel this policy for any other reason during the first 60 days this policy is in effect, "we" will give "you" notice at least 20 days before cancellation is effective.

If "we" cancel this policy for reason 8) above, "we" will advise "you" that "you" must act within ten days if "you" desire a

review by the Insurance Department. "We" will also simultaneously notify the Insurance Department of "our" cancellation of "your" policy.

- b. "We" may not renew or not renew with the same "terms", conditions, or rates, this policy by written notice to "you" at the address shown in the "declarations" and to "your" authorized agent or broker. Proof of delivery or mailing is sufficient proof of notice. These nonrenewal or conditional renewal requirements will not apply when "you", an agent or broker authorized by "you", or another insurer of "yours" has mailed or delivered written notice to "us" that the policy has been replaced or is no longer desired.

If "we" do not renew this policy, "we" will mail or deliver to "you" "our" written notice at least 60 days, but not more than 120 days, before the end of the policy period or the anniversary date. "Our" notice will specify the grounds for nonrenewal.

If "we" decide not to renew this policy with the same "terms", conditions, or rates, "we" will mail or deliver to "you" "our" notice of conditional renewal at least 60 days, but not more than 120 days, before the end of the policy period or anniversary date. "Our" notice will state the reasons for conditional renewal and set forth the amount of any premium increase and the nature of any other proposed changes. This provision applies to renewal conditioned upon change of "limits", change in type of coverage, reduction of coverage, increased deductible, addition of exclusion, or upon increased premiums in excess of 10% (exclusive of any premium increase generated as a result of increased exposure units or as a result of experience rating or loss rating).

If "we" notify "you" of "our" intent not to renew or not to renew with the same "terms", conditions, and rates:

- 1) at least 30 days but less than 60 days prior to the expiration date of the policy; coverage will continue on the same "terms" and conditions as the expiring policy and at the lower of the current rates or the prior policy period rates, until 60 days after the notice is mailed or delivered to "you". If "we" offer to renew with different "terms", conditions, or rates and "you" elect to renew the coverage, the "terms", conditions, and rates set forth in the conditional notice apply as of the renewal date;

- 2) less than 30 days prior to the expiration date of the policy; coverage will continue on the same "terms" and conditions as the expiring policy, and at the lower of the current rates or the prior policy period rates, until 60 days after the notice is mailed or delivered to "you". If "we" offer to renew with different "terms", conditions, or rates and "you" elect to renew the coverage, the "terms", conditions, and rates set forth in the conditional notice apply after the expiration of the 60 day period; or
- 3) on or after the expiration date of the policy; coverage will continue on the same "terms" and conditions as the expiring policy for another required policy period; and at the lower of the current rates or the prior policy period rates.

Required policy period means a period of one year from the date as of which a covered policy is renewed or first issued.

- c. As an alternative, "we" may notify "you" of "our" intent not to renew or not to renew with the same "terms", conditions, and rates by giving "you" written notice at least 60 days, but not more than 120 days, before the expiration date of the policy. In that case, coverage will continue on the same "terms", conditions, and rates until either:

- 1) the expiration date; or
- 2) 60 days after "we" give "you" a second notice which indicates "our" decision to either not renew this policy or that this policy will be continued with changes in policy "terms", conditions, and rates;

whichever is later.

"Our" second notice will state either the reasons for nonrenewal or the reasons for conditional renewal and set forth the amount of any premium increase and the nature of any other proposed changes.

This item applies to the Commercial Liability Coverage only. If the policy period is extended, the aggregate "limits" of this policy will be increased in proportion to any policy period extension, and the last sentence under How Much We Pay will be deleted.

- d. "Your" return premium, if any, will be refunded at the time of cancellation or as soon as practical. Payment or tender of the unearned premium is not a condition of cancellation.
3. Under Common Policy Conditions, Change, Modification, or Waiver of Policy Terms is deleted and replaced by the following:

Change, Modification, or Waiver of Policy Terms

-- A waiver or change of the "terms" of this policy must be issued by "us" in writing to be valid. If "we" adopt a revision which broadens coverage under this edition of "our" policy without an additional premium during the policy period, or within six months before this coverage is effective, the broadened coverage will apply. If a change in forms or endorsements reduces coverage or "limits", "we" must notify "you" as provided under the nonrenewal "terms" contained in this policy.

If this policy has no expiration date, "we" may substitute or "we" may add, at each anniversary date, forms that are then authorized for use.

4. Under Common Policy Conditions, Examination of Books and Records is deleted and replaced by the following:

Examination of Books and Records

-- "We" may examine and audit "your" books and records that relate to this policy during the policy period and within three years after the policy has expired.

- a. "We" will perform an audit to determine the final premium for policies if the initial premium is based on an estimate of "your" exposure base. This audit will be performed within 180 days after the expiration of the policy, unless the policy is continuous or for a period longer than one year, in which case the audit will be performed within 180 days of the anniversary date. This audit may not be waived except when the total annual premium attributable to the auditable exposure base is not reasonably expected to exceed \$1,500.
- b. "We" will, as soon as practical after such audit, refund or credit "your" account for any return premium due "you", or bill and make a good faith effort to collect any additional premium due "us" as a result of the audit.

- c. If "you" fail to cooperate with "us" in "our" attempt to conduct such audit, including failure to return any questionnaires or self-audit worksheets, "we" may nonrenew this policy upon completion of the current policy period, in accordance with the provisions of section 3426 of the Insurance Law, due to "our" inability to establish a proper premium for "you".

5. Under Common Policy Conditions Misrepresentation, Concealment, or Fraud is deleted and replaced by the following:

Misrepresentation, Concealment, or Fraud

-- This policy is void if, when applying for coverage and as an inducement to issue the policy, "you" or someone "you" authorize, misrepresented to "us" a past or present fact that is material to the risk.

"We" do not provide coverage for an "insured" who has, before or after a loss:

- a. willfully concealed or misrepresented:
- 1) a material fact or circumstance with respect to this insurance; or
 - 2) an "insured's" interest herein; or
- b. engaged in fraudulent conduct or sworn falsely with respect to this insurance or the subject thereof.

No misrepresentation will be considered material unless "our" knowledge of the facts misrepresented would have led "us" to refuse to issue the policy.

6. Under Common Policy Conditions, Subrogation, as it applies to the Commercial Liability Coverages only, is deleted and replaced by the following:

Subrogation -- If "you" have rights to recover all or part of any payment "we" have made under the Commercial Liability Coverage, "we" may require "you" to assign to "us" any right of recovery. "You" must do nothing after a loss to impair these rights.

At "our" request, "you" must bring suit or transfer these rights to "us" and help "us" enforce them.

7. Under Common Policy Definitions, the definition of "pollutant" is deleted and replaced by the following:

"Pollutant" means any solid, liquid, gaseous, or thermal irritant or contaminant, including acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste. Waste includes materials to be recycled, reclaimed, or reconditioned, as well as disposed of.

The following provisions amend the Commercial Liability Coverages:

8. Under Additional Definitions, the definition of "bodily injury" is deleted and replaced by the following:

"Bodily injury" means bodily harm, sickness, or disease sustained by a person and includes required care and loss of services. "Bodily injury" includes death that results from bodily harm, sickness, or disease.

9. Under Additional Definitions, the definition of "loading or unloading" does not apply.

10. Under Defense Coverage the following is added:

"We" have a right and duty to defend a suit seeking "damages" for "bodily injury" or "property damage" which may be covered under the Commercial Liability Coverage, even if the allegations of the suit are false, groundless, or fraudulent.

11. Under Exclusions That Apply To All Liability Coverage, the first paragraph is deleted.

12. Under What Must Be Done In Case Of Loss, item a. of Notice is deleted and replaced by the following:

- a. In case of an "occurrence", or if an "insured" becomes aware of anything that indicates that there might be a claim under the Commercial Liability Coverage, "you" must arrange for notice to be given to "us" as soon as reasonably possible.

Notice given by or on behalf of the "insured", or written notice by or on behalf of the injured person or any other claimant, to any of "our" agents in the state with sufficient information to identify the "insured", will be notice to "us".

Failure to give any notice required to be given by the policy within the time specified therein will not invalidate any claim made by an "insured" an injured person, or any other claimant if:

- 1) it is shown not to have been reasonably possible to give such notice within the prescribed time and notice was given as soon as reasonably possible thereafter; or
- 2) the failure to provide timely notice did not prejudice "us".

13. Under Conditions, Bankruptcy is deleted and replaced by the following:

Bankruptcy -- Bankruptcy or insolvency of an "insured" or their estate does not relieve "us" of "our" obligations under the Commercial Liability Coverage incurred during the policy period.

14. Under Conditions, Suit Against Us is deleted and replaced by the following:

Suit Against Us

- a. Except as stated under item b. below, no suit may be brought against "us" unless:

1. all the "terms" of the Commercial Liability Coverage have been complied with; and
2. the amount of the "insured's" liability has been fixed by:
 - a) a final or summary judgment against an "insured" or an arbitration proceeding; or
 - b) a written agreement by the "insured", the claimant, and "us".

No person has a right under this Commercial Liability Coverage to join "us" or implead "us" in actions that are brought to fix the liability of an "insured".

- b. With respect to all claims covered under this policy, other than property damage liability claims, if "we" disclaim liability or deny such claim for failure to give timely notice of the loss, the injured person or any other claimant may bring an action directly against "us" if the sole issue of that action is "our" disclaimer or denial based on failure to give timely notice.

However, the injured person or other claimant does not have the right to bring such action against "us" if, within 60 days following "our" disclaimer or denial, "we" or an

"insured" bring an action for declaratory judgment on the rights of the parties under this coverage and name the injured person or other claimant as a party to that action.

15. Under Conditions, Commercial Liability Coverage Premium is deleted and replaced by the following:

Commercial Liability Coverage Premium

-- If the premium for this Commercial outlined under Examination of Books and Records found elsewhere in this policy.

16. Under Conditions, the following condition is added:

Transfer of Defense Obligation --

- a. "We" will give "you" notice in writing if "we" determine it is likely that the:

- 1) Each Occurrence Limit;
- 2) General Aggregate Limit;
- 3) Products/Completed Work Hazard Aggregate Limit; or
- 4) "limit" for "property damage" covered under Coverage O;

will be used up in the payment of judgments or written settlements.

- b. "We" will give "you" notice in writing if a "limit" shown under item a. above has been used up in the payment of judgments or written settlements.

"Our" notice to "you" will state that "our" duty to defend a suit seeking "damages" subject to the "limit" that has been used up has also ended.

When "our" duty to defend a suit ends because the "limit" has been used up, "we" will transfer the control of all claims and suits that have been reported to "us" before the applicable "limit" was used up to "you". "You" must cooperate with "us" in the transfer of control of such claims and suits.

If "you" cooperate with "us" in the transfer of control of such suits, "we" will take steps, as "we" deem appropriate, to avoid a default in, or continue the defense of suits until the transfer is complete. "You" must, however, arrange for the defense of

such suits within the time frame agreed to by "you" and "us".

"We" will take no action to defend a claim or suit that is reported to "us" after the applicable "limit" has been used up.

- c. "You" must reimburse "us" for expenses "we" incur in transferring the control of claims and suits as described in item b. above. "Your" duty to reimburse "us" begins on:

- 1) the date on which the applicable "limit" is used up, if "we" sent "you" notice as described in item a. above;
- or
- 2) the date on which "we" sent "you" notice as described in item b. above, if "we" did not send "you" notice as described in item a. above.

- d. "Our" failure to comply with this condition will not affect other "terms" of the Commercial Liability Coverage under How Much We Pay or the end of "our" duty to provide a defense after "we" have paid an amount equal to the "limit" as a result of judgments or written settlements.

The following provisions amend the Property Coverages:

17. Under Perils Insured Against - Coverages A and B, exclusion 2.b., Criminal, Fraudulent, or Dishonest Act is amended to include the following:

However, this exclusion does not apply to an otherwise covered fire loss suffered by an insured who did not cooperate in or contribute to the act that caused the loss.

Subject to all other "terms" of this policy, "our" payment to an insured who did not cooperate in or contribute to the act that caused the loss may be limited to that person's insurable interest in the property, less any payment made to a mortgagee or other party with a legal secured interest in the property. "We" retain all rights set forth in the Subrogation condition of this policy with regard to action against the perpetrator of the act that caused the loss.

18. Under What Must Be Done In Case Of Loss, Notice is deleted and replaced by the following:

Notice -- In case of loss:

a. "you" or someone acting on "your" behalf must give "us" or any of "our" agents in the state prompt notice, including sufficient information to identify "you", the property insured, and the time and place of the loss or damage ("we" may request written notice); and

b. "you" must give notice to the police when the act that causes the loss is a crime; and

c. give notice to the credit card company if the loss involves a credit card.

19. Under Payment Of Loss Or Claim, the following provision is added:

Estimate of Damages to Real Property -- If, in the process of adjusting a claim, "we" have prepared an estimate of damages to real property or had such an estimate prepared for "our" own purposes, "you" may

request a copy. If "you" request it, "we" will provide a copy of the estimate to "you", or to someone else "you" designate in writing, within 30 days after "your" request or within 30 days after the estimate is prepared, whichever is later.

20. Under Conditions, paragraph b. of Suit Against Us is deleted and replaced by the following:

b. the suit is commenced within two years after the loss.

21. Under Conditions, the following condition is added:

Tax Liens -- For any covered loss by fire, if "we" have received a certificate of lien from any tax district pursuant to New York statutes, "we" will deduct the amount of the lien from the amount payable to "you" and pay that amount to the tax district. When "we" pay the lien amount to the tax district, "we" will be released from any obligation to pay that amount to "you". Payment of the lien amount within 30 days of "our" receipt of the certificate of lien will be a conclusive presumption that the lien amount was valid and properly paid.

**CERTIFIED TERRORISM LOSS DISCLOSURE OF
PREMIUM AND FEDERAL SHARE OF INSURED LOSSES**

(The entries required to complete this endorsement will be shown
below, on the "declarations", or on the "schedule of coverages".)

SCHEDULE

Certified Terrorism Loss Premium \$58

Additional information, if any, concerning terrorism premium:

Federal share of terrorism losses: 80%

1. The portion of "your" premium that is attributed to coverage for "certified terrorism loss" is shown in the Schedule above.
2. Coverage for "certified terrorism loss", to the extent that such coverage is provided by this policy or Coverage Part, will be partially reimbursed by the United States Department of the Treasury under the federal Terrorism Risk Insurance Program. Under such program, the Treasury pays a percentage of insured losses for "certified terrorism loss" that exceeds the statutorily established deductible that "we" retain. The percentage paid by the Treasury is shown in the Schedule above.

However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act, as amended (the Act), exceed \$100 billion in a calendar year (January 1 through December 31), the Treasury will not make payment for any portion of the amount of such losses that exceeds \$100 billion.

If the Secretary of the Treasury determines that the aggregate amount of "certified terrorism loss" has exceeded \$100 billion in a calendar year, and "we" have met "our" insurer deductible under the Act, "we" will not pay for any portion of "certified terrorism loss" that exceeds \$100 billion. If the "certified terrorism loss" exceeds \$100 billion in a calendar year, losses up to \$100 billion are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury under the Act.

Insurance Company: Utica First Insurance Company

Policy Number: ART3000665111

Named Insured: Duneside Properties LLC

POLICYHOLDER DISCLOSURE NOTICE OF TERRORISM INSURANCE COVERAGE

You are hereby notified that under the Terrorism Risk Insurance Act (the Act), you have a right to purchase insurance coverage for losses arising out of acts of terrorism, as defined in Section 102(1)(A) of the Act. See the next page for a further description of an act of terrorism as provided under the Act.

ACCEPTANCE OR REJECTION OF TERRORISM INSURANCE COVERAGE

You may accept or reject this offer of coverage. If you choose to accept this coverage, the premium for this coverage is payable according to the terms of your billing notice. You may reject this offer by completing and signing the enclosed statement and returning it to us. If you send us a signed rejection of coverage, your policy will exclude coverage for certified terrorism losses.

Insurers should include the following in a Notice prepared for policies that are subject to Standard Fire Policy statutes with respect to losses resulting from terrorism:

In the state of New York, a terrorism exclusion makes an exception for fire losses resulting from an act of terrorism. Accordingly, if you reject the offer of terrorism coverage as provided under the program, that rejection is not applicable to fire losses resulting from an act of terrorism. In this state, the coverage in your policy for such fire losses will continue. The premium for such fire coverage is stated below. This premium is due whether or not you reject the offer described above for terrorism coverage.

One of the following premiums is due:

If you accept this offer, the premium for terrorism coverage is \$ 58

If you reject this offer, the premium for terrorism (fire only) coverage is \$ 0

☐ I accept this offer of terrorism coverage and acknowledge that I have been notified that under the Act, any losses resulting from certified acts of terrorism under my policy may be partially reimbursed by the United States government and may be subject to a \$100 billion cap that may reduce my coverage, and I have been notified of the portion of my premium attributable to such coverage.

☐ I hereby reject this offer of terrorism coverage. I understand that an exclusion of certified terrorism losses will be made part of this policy. I also acknowledge that I have been notified that under the Act, any fire losses resulting from certified acts of terrorism under my policy may be partially reimbursed by the United States government and may be subject to a \$100 billion cap that may reduce my coverage, and I have been notified of the portion of my premium attributable to such coverage.

You should know that where coverage is provided by this policy for losses resulting from certified acts of terrorism, such losses may be partially reimbursed by the United States government under a formula established by federal law. However, your policy may contain other exclusions which might affect your coverage, such as an exclusion for nuclear events. Under the formula, the United States government reimburses 80% of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. The premium charged for this coverage is shown above and

does not include any charges for the portion of loss that may be covered by the federal government under the Act.

You should also know that the Act, contains a \$100 billion cap that limits U.S. government reimbursement as well as insurers' liability for losses resulting from certified acts of terrorism when the amount of such losses in any one calendar year exceeds \$100 billion. If the aggregate insured losses for all insurers exceed \$100 billion, your coverage may be reduced.

Policyholder's Signature:

Date:

Print Name

The following excerpt from the Act is provided for your information:

As defined in Section 102(1)(A) of the Act, "The term 'act of terrorism' means any act that is certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security, and the Attorney General of the United States-----(i) to be an act of terrorism; (ii) to be a violent act or an act that is dangerous to (I) human life; (II) property; or (III) infrastructure; (iii) to have resulted in damage within the United States, or outside the United States in the case of (I) an air carrier or vessel described in paragraph (5)(B); or (II) the premises of a United States mission; and (iv) to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion."

This endorsement changes the
property coverage.

- PLEASE READ THIS CAREFULLY -

NEW YORK - AMENDATORY ENDORSEMENT (Anti-Arson Endorsement)

The New York Insurance Laws and Insurance Department Regulations require completion and submission of anti-arson applications on some policies insuring real property and the buildings and improvements thereon, covering the perils of fire and explosion.

NEW POLICIES

The insured will be furnished an anti-arson application if applicable. Unless the insured returns the completed, signed and affirmed anti-arson application to the insurer, broker or agent within 45 days of the effective date of the coverage, the insurer shall rescind such coverage. The insurer will give a five day written notice to the insured and a 10 day written notice to the designated mortgagee.

RENEWAL POLICIES

The insured will be furnished an anti-arson application, if applicable. Unless the insured returns the completed signed and affirmed anti-arson application to the insurer at least 15 days prior to the expiration date of the policy, the insurer shall terminate the policy on its expiration date. The insurer will give a five day written notice to the insured and a 10 day written notice to the designated mortgagee.

ASSIGNMENT

A completed anti-arson application is also required in the event of a transfer of a major financial interest in insured real property.

UTICA FIRST INSURANCE COMPANY

P.O. Box 851, Utica, NY 13503-0851 Tel. 315-736-8211 Fax: 315-768-4408

IMPORTANT NOTICE

EXCLUSION -- COMMUNICABLE DISEASE

Your policy may not cover Communicable Disease.

Your policy now includes endorsement AP 0858UF 04 23, which replaces AP 0858UF 01 10. Previously, a communicable disease exclusion could not apply while the insured is engaged in the conduct of the named insured's business or occupation which requires physical contact with the public on an ongoing basis. The revised form removes this language.

As a result, there is no coverage for bodily injury, property damage, personal injury, or advertising injury that arises out of the actual or alleged transmission of a communicable disease by a person, an insured's property (including products), or the property of others in the care, custody, or control of an insured. Coverage is also excluded for any loss, cost, or expense arising out of any request, demand, order, claim, or suit that results from a communicable disease or the conditions to which a communicable disease is attributed.

This summary is not a replacement for the terms of the policy of insurance, shall not have the effect of altering the coverage afforded by the policy, and shall not confer new or additional rights beyond those expressly provided for in the policy. This information is only provided as guidance to the policyholder in understanding the terms of the policy of insurance. You should consult your policy, agent, and insurer if you have questions about your particular coverage.

EXCLUSION- EXPLOSION, COLLAPSE, UNDERGROUND PROPERTY DAMAGE HAZARD

(The information required below may be shown on a separate schedule or supplemental Declarations.)

SCHEDULE		Excluded Hazard(s)
Policy Number:	ART3000665111	☒ Explosion Hazard
Location:		☒ Collapse Hazard
Description:	Heating and Air Conditioning - Systems and Equipment No LPG Work	☒ Underground Property Damage Hazard

The Commercial Liability Coverage of this policy is amended as follows:

DEFINITIONS

The following definitions are added:

1. **Explosion Hazard** - This means property damage arising out of blasting or explosion. **Explosion Hazard** does not include **property damage** arising out of the explosion of air or steam vessels, piping under pressure, prime movers, machinery or power transmitting equipment.
2. **Collapse Hazard** - This includes structural **property damage** and any resulting **property damage** to any other property at any time.
3. **Structural Property Damage** - This means the collapse of or structural injury to any building or structure due to:
 - 1) grading of land, excavating, borrowing, filling, backfilling, tunnelling, piledriving, caisson work or cofferdam work; or
 - 2) moving, shoring, underpinning, raising or demolition of any building or structure or removal or rebuilding of any structural support of that building or structure.
4. **Underground Property Damage Hazard** - This includes **underground property damage** and any resulting **property damage** to any other property at any time.
5. **Underground Property Damage** - This

means **property damage** to wires, conduits, pipes, mains, sewers, tanks, tunnels and any similar property and any apparatus used with them beneath the surface of the ground or water, caused by and occurring during the use of mechanical equipment for the purpose of grading land, paving, excavating, drilling, borrowing, filling, backfilling or pile driving.

EXCLUSIONS THAT APPLY TO ALL COVERAGES

The following is added to the "Exclusions That Apply To All Coverages":

This insurance does not apply to **property damage** included within the **Explosion Hazard**, the **Collapse Hazard** or the **Underground Property Damage Hazard** when entered as an excluded hazard on the schedule.

This exclusion does not apply to:

- 1) operations performed for you by others; and
- 2) **property damage** included within the **Products/Completed Work Hazard**.

This endorsement changes the Commercial
Liability Coverages provided by this policy

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- PLEASE READ THIS CAREFULLY -

LEAD / ASBESTOS LIABILITY EXCLUSION

The Commercial Liability Coverage is amended as follows:

EXCLUSIONS THAT APPLY TO ALL COVERAGES

The following are added:

We do not pay for:

1. actual or alleged **bodily injury** arising out of the ingestion, inhalation or absorption of lead or asbestos in any form;
2. actual or alleged **property damage** (or **personal injury** or **advertising injury**, if provided by the Commercial Liability Coverage) arising out of any form of lead or asbestos;

3. any loss, cost or expense arising out of any request, demand or order that any **insured** or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize or in any way respond to or assess the effects of lead or asbestos; or
4. any loss, cost or expense arising out of any claim or suit by or on behalf of any governmental authority for damages resulting from testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing or in any way responding to or assessing the effects of lead or asbestos.

Important Notice About Your Privacy

At Utica First our goal is to professionally and respectfully serve the personal and business insurance needs of our customers. Information that you provide or we collect about you when you apply for insurance or when you file a claim helps us to achieve that goal. You provide us with most of the information about you that we use in evaluating your application and servicing your insurance policy or your claim. This enables us to provide coverage to you at the best price or to service your claim promptly and fairly.

We know that the trust of our customers is our most important asset. This includes the trust that we will keep the information about you secure and treat it **only as permitted by law**. This disclosure and notice tells you about the privacy policy we have adopted and the practices we use in handling the information you furnished to us.

We do not disclose any non-public personal information about our customers or former customers to anyone, except as permitted by law.

What types of information does Utica First collect about you?

We collect non-public personal information about you from the following sources:

- * Information we receive from you on applications and other forms.
- * Information about your transactions with us, our affiliates, or others.
- * Information we receive from inspection or audit functions and, if applicable, state motor vehicle records.
- * Information we receive from a consumer reporting agency.

What information do we share with our affiliated companies?

- * We share non-public personal information about our customers or former customers with our affiliated companies only as permitted by law.
- * In some cases, this may mean information can be disclosed to our affiliated companies without your authorization.

What information do we disclose to nonaffiliated third parties?

- * We share non-public personal information about customers or former customers to nonaffiliated third parties only as permitted by law.
- * We do not disclose your non-public personal information to nonaffiliated third parties for purposes of marketing the products or services of any third party.
- * In some cases, this may mean information can be disclosed to nonaffiliated third parties without your authorization.

What measures are taken by Utica First to protect your information?

- * We limit access to non-public personal information about you to those employees who need to know that information to provide you with products or to provide you benefits or services under them.
- * We maintain physical, electronic, and procedural safeguards that comply with state and federal regulations to guard your non-public personal information.
- * We limit the collection and disclosure of non-public information to information necessary and relevant to the conduct of our business.
- * We collect information only by legitimate means.

You have the right to obtain access to certain items of information we have collected about you, and you have the further right to request correction of information if you feel it is inaccurate.

We would be pleased to tell you more about our policies and procedures for the privacy of your information.

Questions or requests about your privacy should be address to:

Privacy Officer, Utica First Insurance Company, P.O. Box 851, Utica, NY 13503-0851

Remember to include your name, address, policy number or claim number, and daytime phone number.

IMPORTANT NOTICE

IN COMPLIANCE WITH THE REQUIREMENTS OF THE FAIR CREDIT REPORTING ACT (PUBLIC LAW 91-508) UTICA FIRST INSURANCE COMPANY ADVISES THAT AS PART OF OUR ROUTINE PROCEDURE IN REVIEWING APPLICATIONS FOR INSURANCE OR RENEWALS OF INSURANCE POLICIES, WE MAY PROCURE A CONSUMER REPORT INCLUDING INFORMATION AS TO THE CONSUMER'S CHARACTER, GENERAL REPUTATION, PERSONAL CHARACTERISTICS OR MODE OF LIVING. IF SUCH INSURANCE IS FOR AN INDIVIDUAL AND IS PRIMARILY FOR PERSONAL, FAMILY, OR HOUSEHOLD PURPOSES, SUCH INFORMATION MAY BE OBTAINED THROUGH PERSONAL INTERVIEWS WITH NEIGHBORS, FRIENDS, OR OTHERS WITH WHOM THE CONSUMER IS ACQUAINTED.

UPON REQUEST TO UTICA FIRST INSURANCE COMPANY AS NOTED ABOVE, WE WILL PROVIDE IN WRITING A COMPLETE AND ACCURATE DISCLOSURE OF THE NATURE AND SCOPE OF THE CONSUMER REPORT REQUESTED OR ADVISE THAT NONE WAS REQUESTED.



CONTRACTORS SPECIAL POLICY

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY

EXCLUSION - SNOW REMOVAL OPERATIONS

THIS ENDORSEMENT MODIFIES THE COMMERCIAL LIABILITY COVERAGES PROVIDED BY THIS POLICY.

Under **EXCLUSIONS THAT APPLY TO ALL LIABILITY COVERAGES** , the following is added:

12. **We do not pay for bodily injury, property damage, medical payments, or personal and advertising injury liability** arising out of:

1. Any operations that involve the removal of snow and/or ice by any means and/or methods;
and/or
2. The **products/completed work hazard** arising from those operations.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED.



ROOFING OPERATION SPECIFIC EXCLUSION ENDORSEMENT

It is hereby understood and agreed that such insurance as is afforded by Coverage L – Bodily Injury Liability and Property Damage Liability and Coverage N – Products/Completed Work does not apply to Bodily Injury, Property Damage, Products or Completed Work arising out of any **Roofing Operations**.

Roofing Operations is defined herein as any work involving, in whole or in part, the repair, removal, replacement and/or recovering of any existing roof, or any part or section thereof.

UTICA FIRST INSURANCE COMPANY

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Exclusion of Injury to Employees, Contractors, and Employees of Contractors

This insurance does not apply to:

- (i) bodily injury to any employee of any insured, to any contractor hired or retained by or for any insured or to any employee of such contractor, if such claim for bodily injury arises out of and in the course of his/her employment or retention of such contractor by or for any insured, for which any insured may become liable in any capacity;
- (ii) any obligation of any insured to indemnify or contribute with another because of damage arising out of the bodily injury; or
- (iii) bodily injury sustained by the spouse, child, parent, brother or sister of an employee of any insured, or of a contractor, or of an employee of a contractor of any insured as a consequence of bodily injury to such employee, contractor, or employee of such contractor, arising out of and in the course of such employment or retention by or for any insured.

This exclusion applies to all claims and suits by any person or organization for damages because of such bodily injury, including damages for care and loss of services.

This exclusion replaces Exclusion 8 in the Exclusions Section of the AP-100 policy form to which this endorsement is attached.